THEME 1
REVISION NOTES

1.1.1 The Market

What is a market?

A market is any place that buyers and sellers will come together to exchange goods or services. There will normally be an exchange of money at a set price.

Mass market – this is selling product/s to a large % of the population e.g. Coca Cola

Niche market – this is selling product/s to a very small segment of the market. (i.e. small % of the population). Products sold normally address a specialist need e.g. graduation gowns or left-handed shop

For example, in the UK confectionery market, a dominant segment would be the plain chocolate bar. Over 90% of the sales in this segment are made by three dominant mass market producers – Cadbury's, Nestle and Mars. However, there are also many small, specialist niche segments (e.g. luxury, organic or fair-trade chocolate).

Mass markets - advantages

- Large volume of sales means high revenues.
- High revenues can be pumped into R&D
- Large scale production means economies of scale and lower average unit costs
- The business sells standard products and ignores differences in tastes among consumers. Therefore, any change in a consumer's buying habits should not have a significant impact on sales.
- Mass marketing can increase a company's brand awareness. Customers that view a company's mass marketing campaign several times or in a variety of places may have an easier time recognizing the brand and its products.

Mass markets - disadvantages

- Lots of competition – e.g. have to set very competitive prices
- High costs – e.g. production and marketing
- High volume production not flexible to demand changes
- Companies that aim at satisfying everyone in the market with a single product can be easily challenged by competitors who specialise in meeting the specific needs of market segments.

Niche markets – advantages

- May be able to charge a premium price
- Less competition – the business is a "big fish in a small pond"
- Can develop very strong relationships with customers – usually offer a personal service
- Small scale production can be flexible and react quickly to changing customer needs

Niche markets – advantages

- Limited growth potential
- Vulnerable to market changes – all "eggs in one basket".
- Lack of "economies of scale" (these are lower unit costs that arise from operating at high production volumes)
- If successful will potentially attract competition

Market size

Market size is a measure of the total available demand for competitors in a market. Key points to remember about market size are:

- It indicates the potential sales for a firm (the "size of the prize")
- Typically measured in terms of annual sales revenue or volume sold per year
- Size of individual segments within the overall market can also be measured
- Not usually a marketing objective – since a firm cannot influence it
- Not always easy to measure, since how you define the market determines what you are trying to measure

Worked Example A

Last year, the total size of a market by value was £4bn. The market is estimated to increase this year by 5%. Calculate the estimated size of the market by value for this year.

Estimated market size by value for this year = £4bn x 1.05 = £4.2bn

Estimated market size by value for this year = £4.2bn

Market growth

Market growth measures the rate of change of market size, which might be rising, falling, or remaining stable. Key points to remember about market growth are:

- A key indicator for existing and potential market entrants – more businesses might be expected to try to enter fast-growing markets
- Growth rate can be calculated using either value (revenue) or volume (units sold)
- Market growth is usually expressed as a percentage change on the previous period
- Growth is usually measured on an annual basis

Worked Example B

Last year, the size of a market by volume was 450,000 units. This year, the market size by volume is estimated to be 481,500 units. Calculate the estimated percentage market growth between last year and this year.

Estimated percentage market growth between last year and this year = (481,500 – 450,000) / 450,000 x 100 = 7%

Estimated percentage market growth between last year and this year = 7%

Market share

Market share is an extremely important measure, and in many businesses, it forms the basis for a key business objective.

Key points about market share:

- Expressed as a percentage
- Explains how the overall market is divided up between the existing competitors
- Tends to be calculated based on market value, but volume can also be used
- Good indicator of competitive advantage: market leaders (with the highest market share) usually have some kind of advantage
- Key is to look for significant +/- changes (for example, a business that used to enjoy the largest market share, but which has now lost its leadership position).

Market share is calculated as:

$$\frac{\text{Sales of the Business (volume or value)}}{\text{Total Market Sales (volume or value)}} \times 100 = \text{(expressed as a percentage)}$$

Worked Example C

Last year, a business achieved sales of £8m in a market with a market size by value of £400m. Calculate the market share of the business last year.

Market share of the business last year = (£8m / £400m) x 100 = 2%

Market share of the business last year = 2%

Worked Example D

Last year, a business had a market share of 5%. The sales of the business last year were £20m. Calculate the total size of the market by value last year.

Total size of the market by value last year = (£20m / 5) x 100 = £400m

Total size of the market by value last year = £400m

Brands

A brand is a product with a unique character, for instance, in design or image. It is consistent and well recognised. The advantages of having a strong brand are:

- Brands inspire customer loyalty leading to repeat sales
- The brand owner can usually charge higher prices, especially if the brand has the largest market share
- Retailers or service sellers want to stock top-selling brands. With limited shelf space, it is more likely the top brands will be on the shelf

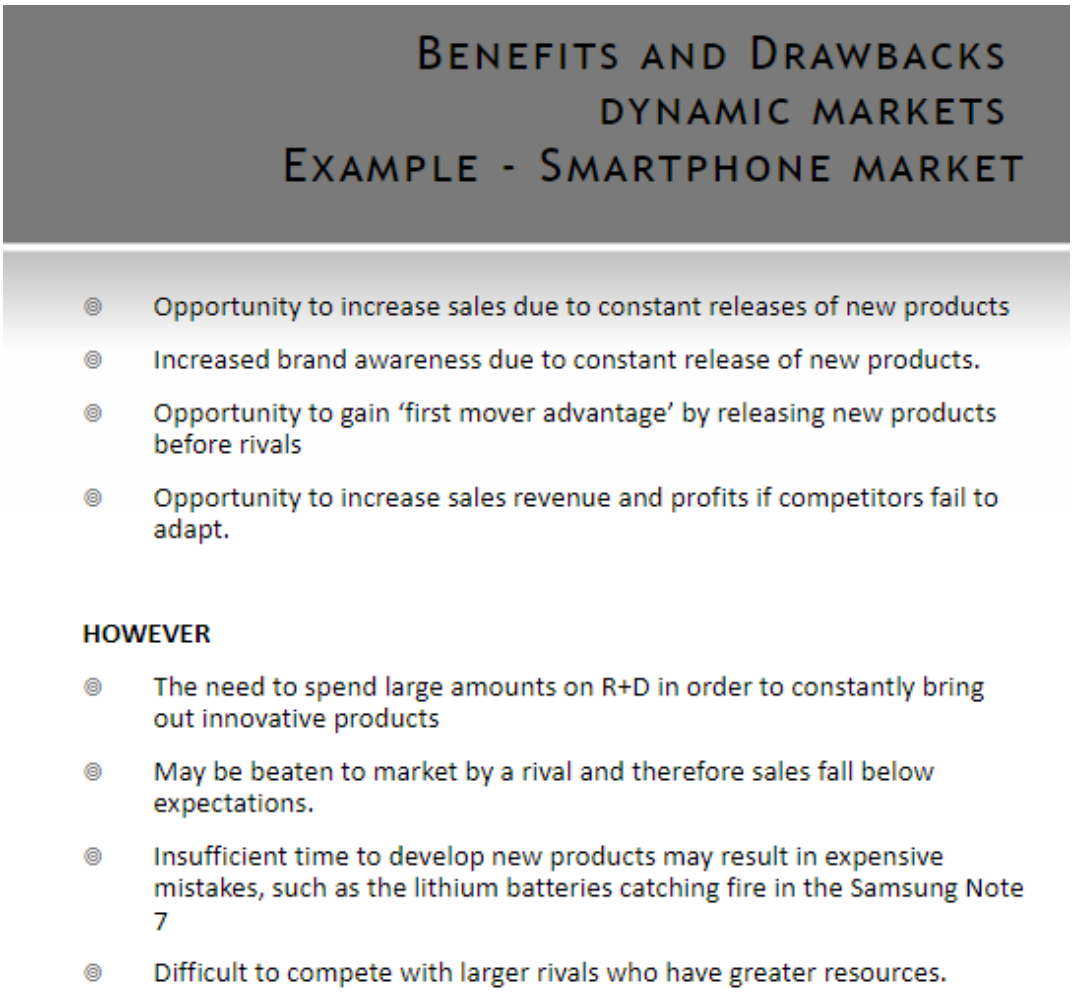
Dynamic markets

A market that is subject to rapid or continuous changes.

Changes relate to:

- Social trends
- Changes in technology
- Competitive environment
- Consumer tastes
- Seasonal factors
- Government regulations
- New competition entering the market

Businesses have to adapt their marketing in response to these changes.
A business that fails to keep up with trends in the market will soon lose competitiveness.



Online retailing

Online retailing has grown significantly in recent years, with many businesses adopting an **omnichannel retail** approach. Omnichannel retail is where a business uses and combines a wide range of distribution channels, including digital and physical stores. Supermarkets are a good example, with many of the leading supermarkets combining physical stores with home delivery and click and collect.

Online retailing presents advantages and disadvantages for businesses and customers:

Advantages - Business	Disadvantages - Business
• Easier market access • Reduced overheads compared to physical stores	• High set-up and infrastructure costs • Increased competition
Advantages - Customers	**Disadvantages - Customers**
• Increased choice • Ease of shopping	• Concerns around privacy and security • Returning unwanted or unsuitable products

How competition affects the market

Competition is rivalry among sellers, where each seller tries to increase sales, profits and market share, by varying the marketing mix of price, product, distribution and promotion. Competition can be direct, where a business sells products and services that are similar and aimed at the same customer group, or indirect, where a business sells different products or services that are different, but still compete for the same customers, for example, theatres and cinemas.

Competition can affect the market in several ways, for example:

- Battle for market share
- Pricing – price wars are a regular feature of intense competition
- Pressure to innovate
- Pressure to differentiate

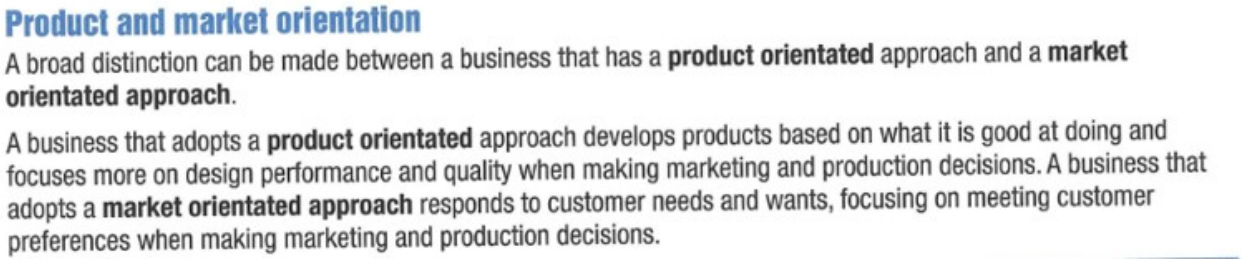
The challenge for all businesses in a market is to establish and sustain an edge over the competition – this is known as competitive advantage. Competitive advantage is:

- The ability of a business to add more value for its customers than its rivals and attain a position of relative advantage
- A situation where a business has an advantage over its competitors by being able to offer better value, quality and/or service

The difference between risk and uncertainty

Risk	Uncertainty
• The possibility that things will go wrong • Risk can be planned for and is often a deliberate decision • Risk can be assessed and/or managed through techniques such as scenario planning	• Uncertainty is caused by unpredictable and uncontrollable events that affect business, but which are beyond the control of the business
Examples • *Risk in making business investments and managed through investment appraisal* • *Risk of a product being in breach of health and safety legislation*	*Examples* • *Uncertainty about the sales success for a new product launch* • *Unpredictable effects of launching a price war against the competition*

1.1.2 Market Research



Product and market orientation

A broad distinction can be made between a business that has a **product orientated** approach and a **market orientated approach**.

A business that adopts a **product orientated** approach develops products based on what it is good at doing and focuses more on design performance and quality when making marketing and production decisions. A business that adopts a **market orientated approach** responds to customer needs and wants, focusing on meeting customer preferences when making marketing and production decisions.

Advantages of Product Orientation

- Allows the business to focus on product quality and innovation and spend most of its efforts and money on doing this.
- Can release its products to the market faster than competitors adopting a market orientated approach – first mover advantages.

Disadvantages of Product Orientation

- By not focusing on identifying and meeting specific customer needs the product might be admired but not sell very well. In high-tech markets with narrow life cycles, companies that bury themselves in product development may miss the window of opportunity to align with customer demand.
- May miss market opportunities and lose competitive advantage.

Advantages of Market Orientation

- Close fit with customer expectations due to carrying out market research– should lead to increased sales.
- Greater responsiveness to changes in customer needs e.g. in dynamic markets.

Disadvantages of Market Orientation

- Higher costs due to the need to carry out market research.
- Businesses may struggle to keep up with product-orientated businesses that invest heavily in new product features and advanced technologies.
- With customers who care mostly about cutting edge products, a marketing orientation may not work as well
- Competitors may release products and gain first mover advantages.

Primary and secondary market research data

Market research involves the gathering and analysis of research to help support the implementation of the marketing strategy of a business. Effective market research can provide important insights that aid marketing strategy and decision-making. For example:

- Dimensions of the market (size, structure, growth, trends)
- Key aspects and features of the business environment (social, legal, economic, political, technological)
- Identify competitors and their strategies (market share, positioning, USPs)
- Quantify likely demand for new products and services
- Reduce risk, for example, new product development or entering new markets
- Gain insight into customer behaviour by ascertaining, identifying and anticipating the needs, wants and expectations of customers and how these are changing
- Ascertain how much customers are prepared to pay for new products and services
- Market segments – existing and potential opportunities for new segments

Primary market research

Primary market research involves the collection of first-hand data by the business and is gathered for a specific purpose and to match the exact needs of the business.

Advantages	Disadvantages
• Directly focused on research objectives • Not publicly available and can therefore be a source of competitive advantage • Provides more detailed insights, especially into customers views	• Time-consuming and costly to obtain • Risk of potential bias • Sampling may not be representative

Methods of primary research include:

- Surveys
- Observations
- Test marketing
- Interviews
- Focus groups and consumer panels
- Test marketing

Secondary market research

Secondary market research involves the collection of second-hand data/data that already exists.

Advantages	Disadvantages
• Often free and easy to obtain • Good source of overall market insights • Quick to access and easy to use	• Not specific to the needs of the business • Often out of date • Available to other businesses

Methods of secondary research include:

- Market research reports such as MINTEL
- Online sources such as Statista
- Government data from the Office of National Statistics
- Trade publications such as the Hairdressers Journal and the Grocer

Methods of primary research

Questionnaires: Can be done face-to-face, through telephone, post or the internet. **Online surveys** can also be conducted whereby researchers will email the sample members to go onto a particular website and fill out a questionnaire posted there. These questions need to be unbiased, clear and easy to answer to ensure that reliable and accurate answers are logged in.

Advantages:

- Detailed information can be collected
- Customer's opinions (qualitative data) about the product can be obtained
- Online surveys will be cheaper and easier to collate and analyse

Disadvantages:

- If questions are not clear or are misleading, then unreliable answers will be given
- Many people are not prepared to complete the questionnaire or rush it – significantly dilutes the value the research collected and results in unreliable research data.
- Time-consuming and expensive to carry out research, collate and analyse them.

Interviews: interviewer will have ready-made questions for the interviewee.

Advantages:

- Interviewer is able to explain questions that the interviewee doesn't understand and can also ask follow-up questions
- Can gather detailed responses and interpret body-language, allowing interviewer to come to accurate conclusions about the customer's opinions.

Disadvantages:

- The interviewer could lead and influence the interviewee to answer a certain way. For example, by rephrasing a question such as 'Would you buy this product' to 'But, you would definitely buy this product, right?' to which the customer in order to appear polite would say yes when in actuality they wouldn't buy the product.
- Time-consuming and expensive to interview everyone in the sample

Focus Groups/Consumer panel: A group of people representative of the target market (a focus group) agree to provide information about a particular product or general spending patterns over time. They can also test the company's products and give opinions on them.

Advantages:

- They can provide detailed information about the consumer's opinions
- Can view the facial reactions of participants when they are presented with products.
- Respondents are being paid by the business so more likely to give considered answers to questions – more reliable research

Disadvantages:

- Expensive – all respondents are paid by the business
- Opinions could be influenced by others in the group.
- A small sample size – may not be representative of the target market

Test marketing/product trials: is *a method that aims to explore consumer response to a product or marketing campaign by making it available on a limited basis.*

Advantages:

- Reduces the risk of a full-scale launch. Launching the product on full scale in the market requires higher costs and will lead to higher losses if the product fails.
- Testing the market before taking that risk will inform the business if the product needs improvements and how it can be improved

Disadvantages:

- Expensive - testing is a large-scale project, at the same time measuring different aspects of the business and product
- Time-consuming - It takes time to set up the campaign and run it to get the feedback.

Secondary Market Research (Desk Research)
The collection of information that has already been made available by others. Second-hand data about consumers and markets is collected from already published sources. The specification focuses on:

c) Methods of secondary market research market research:

- websites/social media
- newspapers/magazines/TV/radio
- reports
- databases.

The main advantages of these types of secondary research are:

- Time and cost effective: Usually time and cost (often free of charge) required to collect secondary data is less than efforts required to collect primary data.

- Extensiveness of data: Data collected by governments and other institutes is usually very extensive and covers a large spectrum of issues.

The main disadvantages of these types of secondary research are:

- Inaccuracy of Data: The researcher may have been biased or may have used questionable methods to collect data.

- May be out of date: Information collected from books, historical surveys are usually not sync the times and might have changed drastically.

- May not be Specific: The business is unlikely to get answers to their specific questions as the research was carried out for a different purpose.

- Competitors also have access to all the information (apart from internal record)

Quantitative and qualitative market research data

Another useful way of categorising market research is to make a distinction between research that is based on hard data, and research that is based on views and opinions. This is what we mean by quantitative and qualitative market research.

Quantitative Market Research

- Concerned with and based on data
- Addresses research questions such as "how many?" "how often", "who?", "when?" and "where?"
- Based on larger samples and is, therefore, more statistically valid
- Main methods of obtaining quantitative data are the various forms of survey – i.e. telephone, postal, face-to-face and online

Advantages	Disadvantages
• Data is relatively easy to analyse • Numerical data can provide insights into trends • Can be compared with data from other sources	• Focuses on data as opposed to why something happened and therefore doesn't explain the reasoning behind trends • May lack reliability if sample size and method is not valid

Qualitative Market Research

- Based on opinions, attitudes, beliefs and intentions
- Answers research questions such as "Why"? "Would? or "How?"
- Aims to understand why customers behave in a certain way or how they may respond to a new product or service
- Focus groups and interviews are common methods used to collect qualitative data

Advantages	Disadvantages
• Essential for important new product development and launches • Provides crucial insights into consumer behaviour • An effective way for testing elements of the marketing mix	• Expensive to collect and analyse often requiring specialist research skills • Based around opinions and there is always a risk that the sample is not representative

Information communication technology has many uses in supporting both the collection and analysis of research data.

Websites

Invite feedback through blogs
Analytics monitor number, frequency and timings of visitors
Online polls and surveys
Cookies

Social networking

Reviews
Blogs
Likes/dislikes
Viral marketing
Customer feedback

Databases

Data mining - is the process of sorting through large data sets to identify patterns and relationships that can help solve business problems through data analysis. Data mining techniques and tools help businesses to predict future trends and make more informed business decisions.

Limitations of using ICT to support market research

As with more traditional forms of market research, the use of ICT to support market research via websites, social networking and databases are not without their limitations. Websites and databases house secondary research which therefore does not meet businesses exact requirements. Surveys and online questionnaires via social networking and websites are a useful source of primary research, but are again, subject to potential bias.

Sampling

Businesses cannot ask for the opinions of all potential customers and therefore try to choose a representative sample

A sample is a group of subjects that has been chosen from a larger group, the population, for investigation

The value of sampling will depend upon:

- The sample technique used
- How the sample was carried out
- The size of the sample

The size of a sample will depend upon a number of factors including:

- The budget available
- The importance of accuracy
- Degree of confidence in results

Random sampling

Random sampling is when a sample is created by chance.

Random sampling is often used by businesses targeting mass markets. The people to be included in the sample are generated at random. This could be done by using a computer program or taking names from a list or telephone book. Whilst being a more cost effective and quicker method there is a high risk that the sample may not be truly representative. For example, significantly more males or too many people from the same age groups may be randomly selected.

Stratified sampling

Stratified sampling is where a business attempts to ensure that the sample chosen is truly representative of its target market. This is achieved by dividing its target market into smaller subgroups (e.g. use criteria such as age, sex, income, location etc) and then a random sample is then taken from each sub group.

The size of each subgroup will determine the number of people selected. For example, a simplistic example is if a business divides its target market into males and females. Males currently account for approximately 70% of sales. Therefore, more males are randomly selected than females e.g. 30 females and 70 males if the total sample size is 100.

Quota sampling

It is the same as stratified sampling with just one significant difference. Stratified sampling uses random sampling within each subgroup to select participants. Quota sampling uses convenience sampling where researchers simply ask anyone who is part of the subgroup. E.g. ask people walking past them in a shopping mall who fit the required profile. E.g. may be given a quota of 50 males who are 60 years and over. The market researcher will ask anyone who they think is part of this sub group if they are willing to answer some questions.

What is sampling bias?

When the views of the chosen sample do not accurately represent the views of the target market.
Example: imagine doing a research study on the experience of driving a hatchback car, but many of the participants are exclusively motorcycle users or do not drive at all; inevitably the results will be useless for the car manufacturer.

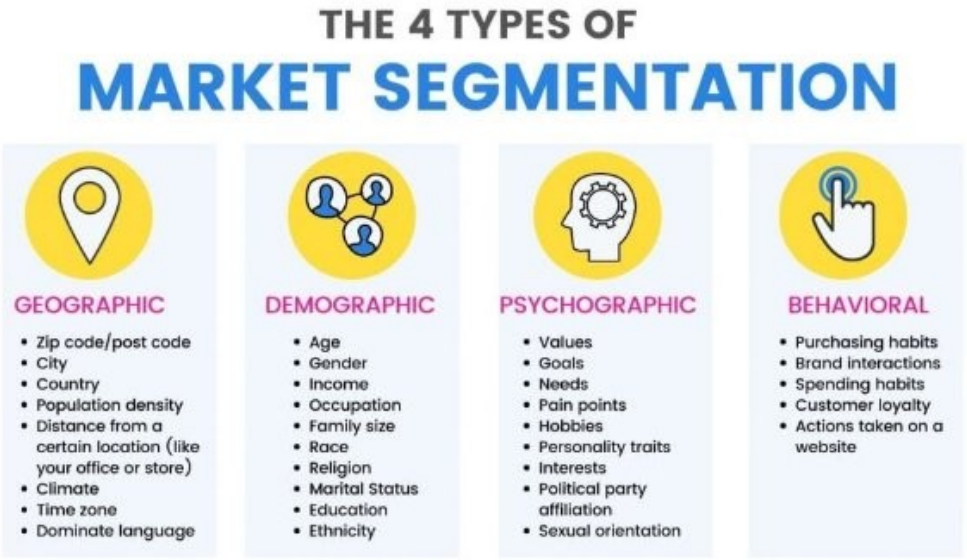
This type of error that occurs when conducting a research study with a **poor selection of participants** is known as sampling bias. This can be prevented by ensuring that criteria is used to select the right participants. i.e. the sample must be selected from car drivers, people who have previously bought hatchback cars etc.

The use of quota or stratified sampling minimises the risk of sampling bias.

Another cause of sampling bias is when the **sample size** is too small and fails to accurately represent the views of the target market. Therefore, the sample size needs to be carefully considered.

Market segmentation

Market segmentation occurs when the market is split into subgroups of consumers with similar characteristics. This helps to identify different types of consumer and different wants and needs.



Advantages

- Can focus all their market research on a specific group of customers – by developing a detailed understanding of these customers a business can meet their specific needs and potentially gain a competitive advantage.

- Small firms unable to compete in the whole market able to specialise in one or two market segments.

- Mass marketing by product differentiation – large businesses can sell different products to different market segments to allow them to target a large % of the population e.g. car manufacturer such as Ford produce a large range of vehicles

- Enables identification of gaps in the market - groups of consumers (a segment) that are not currently being targeted.

Disadvantages

- It requires a lot more money for market research, research and development, promotion and distribution. (costs related to each market segment) Inventory costs also increase because of larger inventory of goods. So, market segmentation increases overall costs of the company.

- If only targeting one market segment - very vulnerable if demand for the product/s falls

- By focusing on one or two limited market segments there is a danger that excessive specialisation could lead to problems if consumers in those segments change their purchasing habits significantly.

- Limited growth potential in some market segments

Market Mapping

Market positioning and market mapping

Once a business has analysed the market structure and chosen which segments to target, the next stage of the marketing strategy is to decide how to compete in those segments. Marketing people call this choice the **value proposition**.

It is important to remember that the market position (or value proposition) is defined by customers – the place a product occupies in customer minds relative to competing products, but market positioning can be achieved through adding value and differentiation.

A useful framework for analysing market positioning is a **market map**. A market map illustrates the range of "positions" that a product can take in a market based on two dimensions that are important to customers. Some possible dimensions for the axes of a market map include:

Dimensions	
Low price	High price
Basic quality	High quality
Low volume	High volume
Necessity	Luxury
Light	Heavy
Simple	Complex
Unhealthy	Healthy
Low-tech	Hi-tech

A market map is also valuable to identify gaps in the market or to aid the repositioning of a product as part of a business's marketing strategy. It is, therefore, a useful tool for both start-ups and established businesses.

An example of a possible market map for chocolate is below:



Whilst market maps are useful conceptual models; care must be taken when using them in marketing decision-making:

How might a market map be used?

- One way is to identify where there are **"gaps in the market"** – where there are customer needs that are not being met.

  For example, in the chocolate bar market, Divine Chocolate (a social enterprise) successfully spotted that some consumers were prepared to pay a premium price for very high quality chocolate made from Fairtrade cocoa. Green & Black's exploited the opportunity to sell premium chocolate made from organic ingredients. Both these brands successfully moved into the high quality / high price quadrant (see previous page) before too many competitors beat them to it.

- A business can also determine if any new entrants pose a threat i.e. are placed in the same section of the market map.

However:

- Just because there is a gap in the market does not mean there will be demand. e.g. there is a gap in the market for a low-quality high price chocolate bar, but consumers would be unlikely to demand this. This could lead to finance being wasted on marketing (e.g. product development) when there is no market potential.

- The marketing map only takes into account TWO criteria e.g. price and quality and is far too simplistic to accurately position a business. This could lead to market positioning errors and mistakes could be made with the marketing strategies that are implemented.

- A business may wrongly position its product/s as customers may perceive the brand differently to the business. For example, a business may believe they are selling a high quality product but it may be perceived by customers to be only average quality. This means that they may lose sales as they are not aware that there is a need to improve the quality of their product/s.

Market positioning and competitive advantage

It is important to remember that customers often choose products and services based on their value proposition - how they perceive the merits of a product or service relative to the alternatives (competing products and services).

Therefore, providing a superior value proposition than the competition is a likely source of competitive advantage – but only if it can be sustained.

There are various possible value differences that have the potential to deliver competitive advantage:

Offer more for less	E.g. Aldi: good quality at low prices
Offer more for more	E.g. high-priced luxury products with prestige value
Offer more for the same	E.g. introduce new features & better performance for the same price
Offer less for much less	E.g. no-frills low-cost flying and hotels; good quality, back to basics & low price

Adding value

Added value is the **difference between the price that is charged to the customer and the cost of inputs required to create the product or service.**

For example, businesses can add value by:

Building a brand – a reputation for quality, value etc that customers are prepared to pay for. Nike trainers sell for much more than many rival brands, even though the production costs per pair are probably pretty similar

Delivering excellent service – high quality, attentive personal service can make the difference between achieving a high price or a medium one

Product features and benefits – for example, additional functionality in different versions of software can enable a software seller to charge higher prices; different models of motor vehicles are designed to achieve the same effect.

Offering convenience – customers will often pay a little more for a product that they can have straightaway, or which saves them time.

A business that successfully adds value should find that it is able to operate profitably. Why? Remember the definition of adding value: where the selling price is greater than the costs of making the product.

By definition, a business that is adding substantial value must also be operating profitably.

Finding ways to add value is a really important activity for a start-up or small business. Quite simply, it can make the difference between survival and failure; between profit and loss.

The **key benefits** to a business of adding value include:

- Charging a higher price
- Creating a point of difference from the competition
- Protection from competitors trying to steal customers by charging lower prices
- Focusing a business more closely on its target market segment

Competitive advantage

A way that the business can make its products or services appear superior to the competition to the target market.

When a business achieves profits that are above average for that industry it has competitive advantage. Competitive advantage is achieved by using resources to achieve either:

Cost advantage – a business has very low operating costs and is therefore able to provide low cost value to consumers e.g. ASDA, Primark and Ryanair

Differentiation advantage – a business offers something which differentiates itself from competitors i.e. a Unique Selling Point (USP), Consumers must be able to perceive this difference and may be willing to pay a premium price for the product.

Methods of differentiation

- Through reputation (e.g. hair salon, restaurant)
- Through customer service or after sales service (e.g. John Lewis and Marks and Spencer)
- Through value for money (e.g. ASDA, Lidl, Aldi)
- Through product features (e.g. cars, mobile phones)

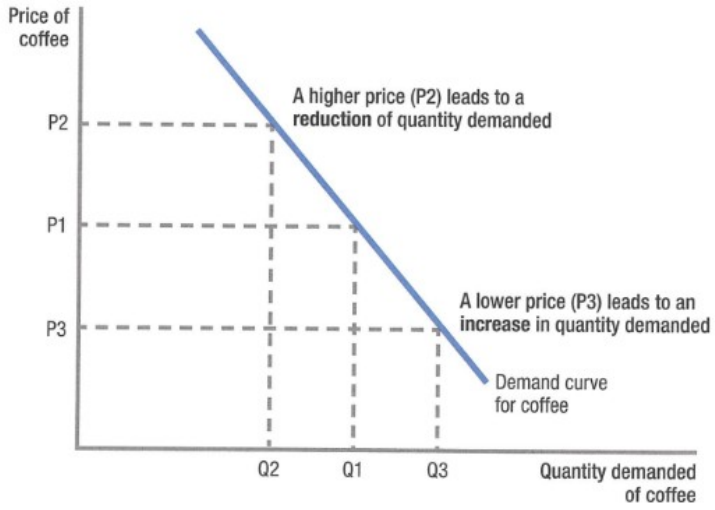
1.3.2 The Market

Introduction to demand

Demand for a good or service is the **quantity that customers are willing and able to buy at a given price in a given period of time.**

The **basic law of demand** is that demand varies inversely with price. Lower prices make products more affordable for consumers, and so demand increases.

This can be illustrated by constructing a **demand curve**:



Factors leading to a change in demand

The Edexcel A-Level Business specification outlines the following factors that may lead to a change in demand:

Changes in the prices of substitutes and complementary goods	**Substitute goods** are two alternative goods that could be used for the same purpose and are, therefore, goods that are in competitive demand. Examples of substitute goods include tea and coffee and cereal brands. A rise in the price of tea, for example, will lead to a contraction (decrease) in quantity demanded for tea, which then may cause some consumers to switch to coffee. This is because the relative price of coffee has fallen. **Complementary goods** are goods which are bought and used together, for example, fish and chips and bacon and eggs. A fall in the price of bacon will lead to an expansion (increase) in quantity demanded for bacon which then might lead to higher demand for eggs.
Changes in consumer incomes	As incomes rise, demand should typically rise. However, for inferior goods, demand may fall as consumers choose better alternatives that are now more affordable.The extent of the change depends on the income elasticity of demand.
Fashions, tastes and preferences	Demand for products that are fashionable, or trendy, will experience sharp fluctuations in the quantity demanded.
Advertising and branding	A key purpose of advertising and branding is to stimulate demand. Advertising, for example, can lead to an increase in awareness of a product or service which can then lead to an increase in the quantity demanded.

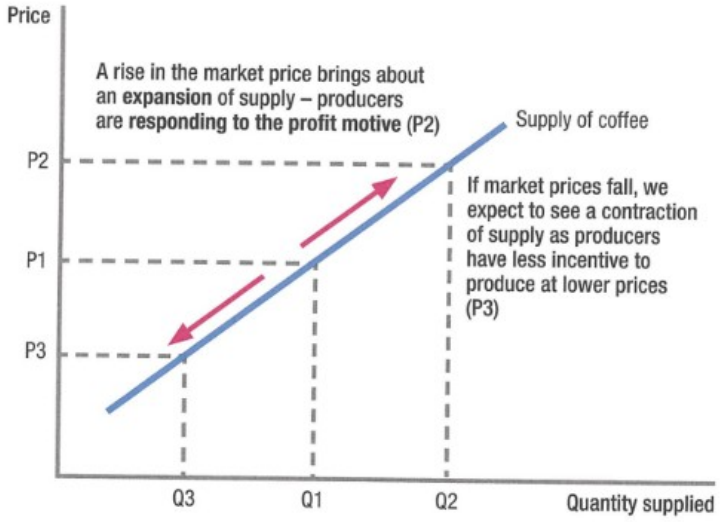
Demographics	Demographics is concerned with the size and composition of a population. Demographics can have a significant impact on the demand for certain products and services. For example, an ageing population can cause a greater demand for services to support older people such as healthcare.
External shocks	A sudden and often significant change in the external environment, such as terrorism and major health scares can impact the demand for certain products and services.
Seasonality	For most products, there will be seasonal peaks and troughs in production and/or sales. For example, demand for plants at garden centres is linked to the planting season. The weather and holiday periods can also cause fluctuations in demand.

Price is a significant factor leading to a change in demand, and for most (normal) goods, a fall in price should increase demand. The extent of the change depends on the price elasticity of demand. We will look in more detail at the sensitivity (elasticity) of demand in response to changes in price and incomes in 1.2.4 and 1.2.5.

Introduction to supply

Supply is the **quantity of a good or service that a producer is willing and able to supply** onto the market at a given price in a given time period.

The basic law of supply is that as the selling price of a product rises, so businesses expand supply to the market. The higher selling price acts as an incentive for businesses to produce more, and it may also attract other suppliers into the market. This can be illustrated by constructing a supply curve:



Factors leading to a change in supply

The Edexcel A-Level Business specification outlines the following factors that may lead to a change in supply:

Changes in the costs of production	It stands to reason that the costs of producing output will influence how much a business can supply. **Lower unit costs** mean that a business can supply more at each price, for example, through higher productivity. **Higher unit costs** cause an inward (left) shift of supply, e.g. a rise in wage rates or an increase in energy prices/other raw materials
Introduction of new technology	Technological change encourages new entrants to a market (increasing supply) and can also enable existing suppliers to become more efficient, thereby increasing their potential to supply. A good example is the 3D printing industry where the rapid development of additive manufacturing techniques has led to an explosion in the supply and demand for 3D printers.

Indirect taxes	An indirect tax is imposed on producers (suppliers) by the government. Examples include duties on cigarettes, alcohol and fuel and VAT. A tax increases the costs of production causing an inward (left) shift in the supply curve.
Government subsidies	A subsidy is a form of government intervention. Usually, it involves a payment by the government to suppliers that reduce their costs of production and encourages them to increase the output of a good or service. The subsidy causes the firm's supply curve to shift outward (to the right).
External shocks	Significant and often unexpected changes in the external business environment usually impact on market supply. For example, the sharp and sustained economic downturn between 2008-2012 across the world's developed economies led to many firms cutting back the scale of their operations, including cutting production capacity and therefore, supply.

The interaction of supply and demand

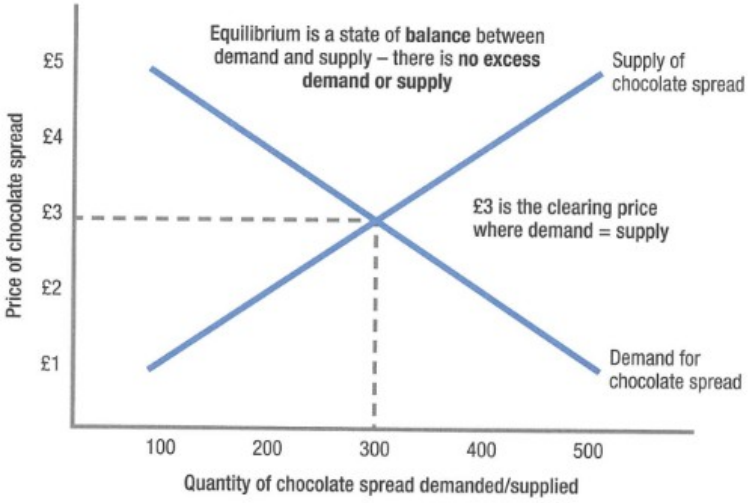
A market is said to be in equilibrium when there is a balance between demand and supply. If something happens to disrupt that equilibrium (e.g. an increase in demand or a decrease in supply), then the forces of supply and demand respond (and price changes) until a new equilibrium is established.

In some markets, the equilibrium point is changing many times per second as demand and supply try to reach a point of balance (e.g. share prices). In other markets, there is much less volatility, and price changes are less frequent.

Consider the data in the table below. The demand for, and supply of, chocolate spread in a local supermarket, is shown in the table below.

Price	Quantity Demanded	Quantity Supplied
£1	500	100
£2	400	200
£3	**300**	**300**
£4	200	400
£5	100	500

The equilibrium price for the chocolate spread is £3, where the quantity demanded and supplied = 300 units. At £3 per unit, supply & demand are in balance. This can be illustrated using demand and supply curves, as shown below.

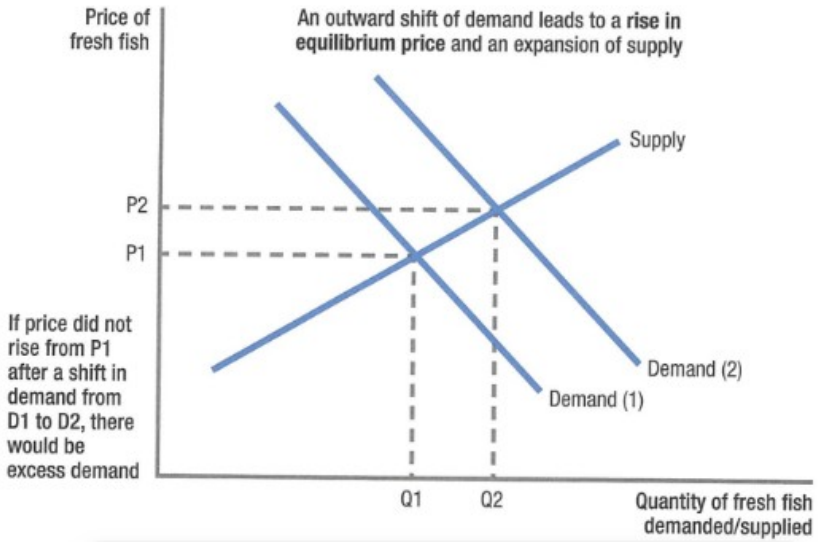


What happens to equilibrium when demand increases?

Below is another example to illustrate what happens to the equilibrium when demand increases. The demand for, and supply of, fresh fish in a local market, is shown in the table below. The original equilibrium price is £6 per kg.

Price per kg	Quantity Demanded (kg) (1)	Quantity Supplied (kg)	Quantity Demanded (kg) (2)
£10	100	380	240
£9	130	340	270
£8	160	**300**	**300**
£7	190	260	330
£6	**220**	**220**	360
£5	250	180	390

If demand rises by 140kg at each and every price, then the new equilibrium price will be £8 with 300kg bought and sold. This change in equilibrium, from an increase in demand, is illustrated below.

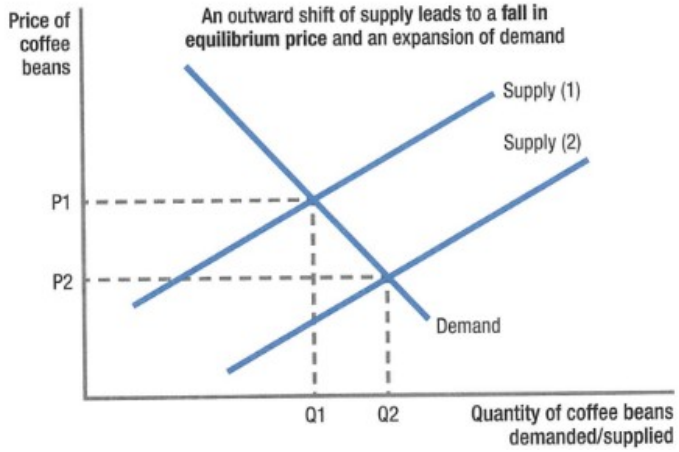


What happens to equilibrium when supply increases?

Below is another example to illustrate what happens to the equilibrium when supply increases. The demand and supply of coffee (beans) in a local market is shown in the table below. The original equilibrium price is $30.

Price per kg	Quantity Demanded (kg) (1)	Quantity Supplied (kg)	Quantity Supplied (kg) (2)
$40	2,000	3,800	4,700
$35	2,500	3,400	4,300
$30	**3,000**	**3,000**	3,900
$25	**3,500**	2,600	**3,500**
$20	4,000	2,200	3,100
$15	4,500	1,800	2,700

If supply increases by 900 kg at each price, then the new equilibrium price will be $25 with 3,500 kg bought and sold. This change in equilibrium is illustrated below.



You need to be able to demonstrate the following:

An increase/rise in demand	This will result in the demand curve shifting outward (to the right). This results in a shortage at the current price, therefore, the price and equilibrium quantity will rise/increase
A decrease/fall in demand	This will result in the demand curve shifting inward (to the left). This results in a surplus at the current price, therefore, the price and equilibrium quantity will fall/decrease
An increase/rise in supply	This will result in the supply curve shifting outward (to the right). This results in a surplus at the current price, therefore, the equilibrium quantity will increase, but the equilibrium price will fall
A decrease/fall in supply	This will result in the supply curve shifting inward (to the left). This results in a shortage at the current price, therefore, the price and equilibrium quantity will decrease, but the equilibrium price will rise

Price Elasticity of demand

Calculation of price elasticity of demand and the interpretation of numerical values of price elasticity of demand

The demand for goods and services varies depending on a range of factors. Elasticity measures the responsiveness of demand to a change in a relevant variable such as price or income.

Price elasticity of demand measures the extent to which the quantity demanded of a product or service is affected by a change in price. Price elasticity of demand (usually shortened to PED) is calculated as:

$$\frac{\%\text{ Change in Quantity Demanded}}{\%\text{ Change in Price}}$$

The result of the above calculation is known as the **co-efficient**. This tells us how responsive the quantity demanded is in relation to a change in price.

We can interpret the price elasticity of demand by looking at the numerical value of the co-efficient.

	Co-efficient	Interpreting the co-efficient
Price elastic	More than 1	Change in demand is more than the change in price
Price inelastic	Less than 1	Change in demand is less than the change in price
Unitary price elasticity	Exactly = 1	Change in demand = change in price

Worked Example A

Product A	Original Price / Original Quantity Demanded	New Price / New Quantity Demanded
Price	£1,000	£900
Quantity Demanded	200 units	250 units
Revenue (price x qty)	£200,000	£225,000
Change in Price		- £100
Change in Quantity Demanded		+ 50 units
% Change in Price		(100/1000) x 100 = -10%
% Change in Quantity Demanded		(50/200) x 100 = 25%
PED (Co-efficient)		**25% / -10% = -2.5**

In the above example, we can see that the co-efficient is -2.5. The co-efficient for PED is always minus, which we ignore. This means that for every 1% change in price, the quantity demanded will change by 2.5%. As the co-efficient is more than one (remember, we ignore the minus), product A is **price elastic**.

Worked Example B

Product B	Original Price / Original Quantity Demanded	New Price / New Quantity Demanded
Price	£100	£120
Quantity Demanded	500 units	450 units
Revenue (price x qty)	£50,000	£54,000
Change in Price		+ £20
Change in Quantity Demanded		- 50 units
% Change in Price		(20/100) x 100 = 20%
% Change in Quantity Demanded		(50/500) x 100 = -10%
PED		**-10% / 20% = - 0.5**

In the above example, we can see that the co-efficient is -0.5. This means that for every 1% change in price, the quantity demanded will change by 0.5%. As the co-efficient is less than one, product B is **price inelastic**. Remember that for PED, we ignore the minus.

Factors influencing price elasticity of demand

Several factors can influence price elasticity of demand:

Factor	Effect on PED
Brand strength	Products with strong brand loyalty and reputation tend to be price inelastic
Necessity	The more essential or necessary consumers deem a product, the more demand tends to be inelastic
Habit	Products that are demanded and consumed as a matter of habit tend to be price inelastic
Availability of substitutes	Demand for products that have lots of alternatives (substitutes) tends to be price elastic

The significance of price elasticity of demand to businesses in terms of implications for pricing

The price elasticity of demand has implications for a business in terms of pricing. For example, if a business sells a product which is price elastic, then a price change will cause a larger change in the quantity demanded, which has an impact on revenue.

- Overall revenues would increase with a price cut
- Overall revenues would fall with a price increase

The opposite is the case if the product is price inelastic.

Calculation and interpretation of the relationship between price elasticity of demand and total revenue

The two worked examples below illustrate the relationship between price elasticity of demand and total revenue.

Worked Example C

A business sells 5,000 products per month. The selling price per unit is £5. The business estimates that the price elasticity of demand for its product is -2 and is considering reducing the price of its product from £5 to £3.

Calculate the difference in monthly revenue based on the price reduction

Current monthly revenue = 5,000 x £5	= £25,000
% change in price = (£5 - £3) / £5 x 100	= 40%
% change in quantity demanded	= 40 x 2 = 80%
New monthly quantity demanded	= 5,000 x 1.8 = 9,000 units (80% increase)
New monthly revenue = 9,000 x £3	= £27,000
Difference in monthly revenue	= £27,000 - £25,000 = £2,000

Here, we can see that monthly revenue has increased by £2,000 after the price reduction

Worked Example D

A business sells 10,000 products per month. The selling price per unit is £10. The business estimates that the price elasticity of demand for its product is -0.5 and is considering reducing the price of its product from £10 to £8.

Calculate the difference in monthly revenue based on the price reduction

Current monthly revenue = 10,000 x £10	= £100,000
% change in price = (£10 - £8) / £10 x 100	= 20%
% change in quantity demanded	= 20 x 0.5 = 10%
New monthly quantity demanded	= 10,000 x 1.1 = 11,000 units (10% increase)
New monthly revenue = 11,000 x £8	= £88,000
Difference in monthly revenue	= £100,000 - £88,000 = £12,000

Here, we can see that monthly revenue has decreased by £12,000 after the price reduction

Calculation of income elasticity of demand and interpretation of numerical values of income elasticity of demand

Income elasticity of demand measures the extent to which the quantity demanded of a product or service is affected by a change in income or the responsiveness of demand to a change in income. Income elasticity of demand (usually shortened to YED) is calculated as:

$$\frac{\text{\% Change in Quantity Demanded}}{\text{\% Change in Income}}$$

Normal goods

For most normal goods, an increase in consumer income will increase demand, whereas a decrease or fall in consumer income will result in a decrease in the quantity demanded. The extent of the change will vary depending on the type of product (e.g. luxury or necessity).

Luxury v Necessity

Whether or not a product is a luxury or necessity is perhaps the main factor influencing the income elasticity of demand. This is significant to businesses as it can impact on the quantity demanded, for example, if the economy goes into recession and incomes fall, then proportionally less money may be spent on luxuries, impacting the quantity demanded. Businesses who sell products deemed as necessities may find that demand is less sensitive to changes in income.

Luxuries	Necessities
• Income elasticity more than 1	• Income elasticity less than 1, but more than 0
• As income grows, promotionally more is spent on luxuries	• As income grows, proportionally less is spent on necessities
Examples	*Examples*
• *Expensive holidays*	• *Staple groceries (e.g. milk)*
• *Branded goods*	• *Own-label goods*

Inferior Goods

Inferior goods have a negative income elasticity, e.g. less than one. For inferior goods, as income rises, demand falls. This is because consumers often switch to better alternatives, and substitute products become more affordable.

Worked Example A

Product A	Original Income / Original Quantity Demanded	New Income / New Quantity Demanded
Income	£30,000	£31,500
Quantity Demanded	1000 units	1020 units
Change in Income		+£1,500
Change in Quantity Demanded		+20 units
% Change in Income		(£1,500 / £30,000) x 100 = +5%
% Change in Quantity Demanded		(20/1000) x 100 = +2%
YED (Co-efficient)		**+2% / +5% = +0.4**

In the above example, we can see that the co-efficient is +0.4. This means that for every 1% change in income, the quantity demanded will change by 0.4%. As the co-efficient is +0.4, product D is a **normal good**. It is important to note that the plus (+) before the co-efficient is of real importance as this indicates that this is a normal good.

Worked Example B

Product B	Original Income / Original Quantity Demanded	New Income / New Quantity Demanded
Income	£25,000	£27,000
Quantity Demanded	800 units	784 units
Change in Income		+£2,000
Change in Quantity Demanded		-16 units
% Change in Income		(£2,000 / £25,000) x 100 = +8%
% Change in Quantity Demanded		(-16 / 800) x 100 = -2%
YED (Co-efficient)		**-2% / +8% = -0.25%**

In the above example, we can see that the co-efficient is -0.25. This means that for every 1% change in income, the quantity demanded will change by -0.25%. As the co-efficient is -0.25, product D is an **inferior good**. It is important to note that unlike PED, we do not ignore the minus here as the minus tells us that the product is an inferior good and therefore, has a negative income elasticity of demand.

Factors influencing income elasticity of demand

Several factors can influence income elasticity of demand:

- Type of product. A luxury product will have a different income elasticity of demand compared to a necessity
- Whether income is expected to change. For example, economic uncertainty or possible job loss

The significance of income elasticity of demand to businesses

Income elasticity is significant to businesses for many reasons:

- Planning. A business which sells mainly inferior goods will tend to find their sales increase during a recession. A business can use this information to ensure it has enough stock. A business that sells normal goods may find that during a recession, their sales fall. This could result in the business needing to reduce capacity and scale back production
- Product portfolio. A business can use income elasticity of demand to help ensure it has a balanced range of products. For example, a business that mainly sells normal goods may want to introduce some inferior goods that sell better during times of economic uncertainty

Limitations of using elasticities

Care needs to be taken interpreting and using elasticity data in marketing. For example:

- It can be challenging to get reliable data on how demand changes in relation to price (although this is getting easier with the emergence of big data)
- Other factors affect demand (e.g. consumer tastes)
- Many markets subject to rapid technological change which may make previous data less reliable
- Competitors will react – pricing decisions can't be taken in isolation

1.3.3 Marketing Mix and Strategy

Introduction to the design mix

Product design is about much more than style. Design goes right to the heart of a product. Good design contributes to a product's usefulness as well as its look.

The traditional product design mix emphasises three elements:

Function	• The way a product works. • Does it do what it needs to do? • Is the product reliable?
Aesthetics	• How the product appeals to the customer in terms of how it looks, feels etc. • Subjective: based on the judgement of the customer • An effective way to differentiate a product
Cost (Economic manufacture)	• Does the design allow the product to be made and sold profitably? • How much value is added during the production process?

Concern over resource depletion

Resource depletion is the consumption of resources quicker than they can be replenished. With increasing demand to meet the needs of the world's population, there are concerns that we are consuming more resources than the earth can regenerate. Because of these concerns, there is a growing demand for sustainability in product design.

Sustainability

- Sustainability involves making a product without affecting the long-term supplies of the inputs into the product
- Source inputs that are not supplied by damaging the environment
- Designing the product so it can be used (consumed) sustainably
- Minimise waste in production
- Enable recycling or re-use

To address sustainability, product design needs to consider a variety of environmental issues:

- Use of raw materials, water and other resources (inputs)
- Energy use and its impact on climate change
- Waste and pollution produced by the business
- The impact the business has on employees and the local, wider and international community

Designing for waste minimisation

This links with the concept of lean production as well as being an important social issue. Businesses addressing this issue take care to ensure that products are designed to maximise their potential for recycling and that the production process minimises waste. The use of automation in the production process, for example, can result in more efficient use of resources, improved quality and lower defects.

Re-use and recycling

An increasingly important area within the design mix is to design products and services for re-use and recycling. Many customers are placing increased importance on re-usable products, as opposed to single-use and disposable products, to reduce waste. There is also a growing demand for businesses to make sure that their products are recyclable.

Ethical sourcing

Many consumers are increasingly interested in buying from 'ethical' businesses and 'how' products are made is a key issue for many consumers. There is potential for significant damage to the reputation of a business if unethical issues are discovered in the supply chain. Businesses focused on ethical sourcing and ethics within the supply chain, can add value to their product or service.

Promotion

Promotion in marketing has two key tasks – to inform (communicate) and persuade. The main aim of promotion is to ensure that customers are aware of the existence and positioning of products. Promotion is also used to persuade customers that the product is better than competing products and to remind customers about why they may want to buy.

Types of promotion

The Edexcel A-Level Business Getting Started Guide advises that students should explore the advantages and disadvantages of each of the following types of promotion:

Type of Promotion	Advantages	Disdvantages
Personal selling	• High customer attention • Message is customised	• High cost • Labour intensive
Direct marketing	• Can personalise the marketing message • Focus limited resources on a targeted promotion	• Response rate can vary enormously • Negative image of junk mail and email spam
Advertising	• Wide coverage • Can be used to build brand loyalty	• Often expensive • Impersonal
Public relations	• Can reach a large audience • Often cost-effective	• Lack of control over the promotional message • Results not guaranteed
Sponsorship	• Can build brand awareness • Niche markets can be targeted	• Can be difficult for the message to stand out if there are several sponsors • Potential for a negative image

Sales Promotion	Advantages	Disdvantages
Buy one get one free	• Can achieve a quick boost in sales • Can encourage customers to trial the product	• Sales boost may only be short term • Customers may expect future buy one get one free offers
Price discounts	• Can increase short term sales • Can help a business move old inventory/ stock	• Can negatively impact on profit margins • Competitors may simply reduce their prices
Money-off coupons	• Useful for introducing new products and brands • Helps attract more first-time buyers	• It can be costly to implement • May reduce the image of the product in the eyes of the customer
Samples/ giveaways	• Raise brand awareness • Can reach the target audience and market	• Costs time and money • Could devalue the brand
Special events	• Can help to raise awareness • Good for networking	• Expensive to run • Potential for a low turnout
Point of sale	• Can catch a customer's eye • Target impulse buyers	• Needs regular updating • Labour intensive, especially merchandising

Digital Communications	Advantages	Disadvantages
Online advertising	• Lower cost than more traditional forms of advertising • Can reach a large audience	• Customers can often be overloaded with online advertising • Easy for consumers to get distracted
Mobile communications	• Reach a broad market • The message is received as soon as it is sent, i.e. real-time	• Accessibility can prove challenging • Can be intrusive
Advergaming	• Allows interaction with the brand • Good games can go viral increasing reach	• High cost • Still requires promotion, i.e. the game needs to be promoted
Social media	• Can engage with specific target markets • Can be cheaper than more traditional forms of advertising	• Heavily reliant on adverts which can frustrate consumers • Time-consuming due to the need to continually engage
Consumer-generated content	• Consumers often trust consumer-generated content more than advertising • Increased brand engagement	• Businesses often have no control over the content • Negative reviews and critical content can impact on the reputation of the business
Viral strategies	• Low-cost method of promotion • Increased reach of promotional message	• Difficult to target specific customers and markets • Can lead to brand dilution

Branding

A brand is a product that is easily distinguished from other products so that it can be communicated and effectively marketed. A brand name is what the distinctive product is called.

The Edexcel A-Level Business Getting Started Guide advises that students should explore the advantages and disadvantages of each of the following types of branding to the producer and the consumer:

Types of branding

Branding	Advantages - Producer	Disadvantages - Producer
Manufacturer/ corporate	• Can increase the chances of success for new products and services if customers trust the overall manufacturer/ corporate brand • Increased customer loyalty across a range of different products/ services	• Negative brand image can impact the success of future product/service launches • Can make it difficult to enter new markets with new products (diversify) if the branding is associated with one type of product/market
Product branding	• Consumers often trust branded products more than own branded products leading to higher sales • Can act as a unique selling point	• Developing and maintaining a product brand can be extremely expensive • Changing the perception of the brand once it is established is difficult
Own brand product	• Can reinforce brand loyalty, especially if the product is used at home, i.e. own brand cereal • Can be cheaper than branded products leading to higher profit margins for the business	• Difficult to differentiate as own branded products are often replicas of branded products • Customers often trust branded products more than own-brand products and perceive them as higher quality

Rebranding

Rebranding is a concept whereby a new image for an established brand is created, perhaps by changing the name of the brand or the logo. Rebranding can allow the brand to reach new customers and differentiate the brand from competitors. However, it can also cause confusion and may alienate existing customers.

The benefits of strong branding

Value can be added by **strong branding** as customers are often prepared to pay more for a product with a strong brand as they perceive it to be different from other products or services. Strong branding can, therefore, allow a business to **charge premium prices**.

Strong branding can also **reduce the price elasticity of demand**, as many customers are **loyal** to certain brands. This enables businesses with strong branding to **increase the price** of their products and services with little impact on sales volume.

Ways to build a brand

Unique selling points (USPs)/differentiation

A unique selling point is a feature or benefit that separates a product from its competitors. It is an important concept in branding as if a product or service does not have any; it may struggle to build a strong brand. Differentiation means making the product or service different from its competitors and is key to branding. Branded products and services are often seen as different from other products and services. This can lead to brand loyalty.

Advertising

Advertising can build a brand by helping to build relationships with customers. Advertising helps inform customers of the brand and persuades customers that a business's products and services are better than others.

Sponsorship

Sponsorship is a common method of brand building. A business will sponsor an event, team or individual in order to build brand awareness. A secondary objective might be to emphasise social or ethical credentials, but most sponsorship really does have a commercial objective at heart.

The use of social media

Social media is an effective way of building a brand as it allows businesses to engage with specific market segments and their target audience. Social media also facilitates online advertising with the ability to define and target online campaigns at specific audiences or in specific locations.

Changes in branding and promotion to reflect social trends

Viral marketing

Viral marketing uses social media networks to promote a product. The name refers to how consumers spread information about a product or service with other people in their social networks, much in the same way that a virus spreads from one person to another. Video content has been proven to be some of the most "virulent" content shared in this way, which has helped some businesses gain significant audiences for their brands, products and services.

Social media

The rapid growth of social media has resulted in considerable changes to branding and promotion with many businesses having their own social media channel and presence, allowing them to target their customers more accurately. Social media has allowed businesses a far greater reach than more traditional forms of promotion, especially given viral marketing. Social media has also resulted in increased transparency, with many customers taking to social media to discuss their experiences, good and bad, with businesses.

Emotional branding

Emotional branding is about creating and forming a relationship between a brand and consumers by appealing to a customer's emotional state, needs, aspirations and ego. Emotional branding aims to create a deeper connection between the customer and the brand and how customers feel and think about the brand. Emotional branding can enable a business to create, build and maintain an extremely loyal customer base.

Price

Types of pricing strategy

Price is the money charged for a product or service. It is often the most challenging part of the marketing mix to get right and is closely linked to the concept of 'value for money' and competitiveness.

Cost plus (calculating mark-up on unit cost)

If a business wants to operate profitably, then its pricing should take some account of the costs of production or operation.

- Cost is a significant influence on pricing
- Over time, a price must be more than the related costs to make a profit
- A popular method of cost-based pricing is **"mark-up"**, when businesses add an amount (the mark-up) to the cost of making the product to establish the selling price

Worked Example

A business adds a 20% mark-up to the unit cost of its product. The unit cost per product is £50. Calculate the selling price per product.

Selling price per product = £50 x 1.2 = £60

Selling price per product = £60

Advantages	Disadvantages
• Easy to calculate • Price increased can be justified when costs rise • Managers can be confident each product is being sold for a profit	• May not consider the competition • The business has less incentive to control costs • Ignores price elasticity of demand

Price skimming

Price skimming involves setting a high initial price and then lowering it over time. Price skimming is often used for the launch of a new product which faces little or low competition, or a new product with a strong brand. Such products are often bought by **early adopters** who are prepared to pay a higher price to have the latest product or newest version on the market.

Advantages	Disadvantages
• High initial price can help the business recover product development costs • High initial price can give customers the perception that the product is of high quality	• Price skimming rarely lasts for long. As soon as competitors launch rival/similar products then the higher price is more difficult to justify • Can impact on initial sales volume

Penetration pricing

Penetration pricing involves offering a product at a low introductory price. The purpose of this pricing strategy is to gain market share quickly, build customer usage and loyalty as well as building sales of higher-priced related products. The price can be increased over time.

Advantages	Disadvantages
• Initial sales volume should be high which can help with cash flow and make distribution easier to obtain • The low price may act as a barrier to entry to other potential competitors considering a similar strategy	• Low price can give customers the perception that the product is low quality • Can give the perception of permanently low prices which can make it challenging to raise the price

Predatory pricing

With predatory pricing, prices are deliberately set very low by a dominant competitor in the market to restrict or prevent competition. The price set might even be free or lead to losses by the predator. Whatever the approach, predatory pricing is illegal under competition law.

Advantages	Disadvantages
• Creates a barrier to entry • Can reduce competition as competitors are squeezed out of the market	• Illegal • Strategy can only really be useful in the short term and may not be viable in the medium to long term

Competitive pricing

Competitive pricing involves setting prices based on what rivals/competitors are charging. If there is intense competition in a market, customers are faced with a wide choice of businesses to buy from. They may buy from the cheapest provider or perhaps from the one which offers the best customer services. But, customers will certainly be mindful of what is a reasonable or a normal price in the market.

Advantages	Disadvantages
• Pricing will be in line with competitors; therefore, the price will not be a competitive disadvantage • Competitive pricing can allow a business to increase prices to be in line with the competition	• Some customers may feel that the pricing strategy is manipulating them • May not appeal to customers who make rational purchasing decisions

Psychological Pricing

Psychological pricing is designed to appeal to customers who use emotional rather than rational responses to pricing messages. Sometimes, prices are set at what seem to be unusual price points, for example, £12.99 or £14.99. Customers will often buy something for £9.99 as they think £10 is a little too expensive. For example, a new car might be priced at £12,995 rather than at £13,000. A rational customer would know that the price difference of £5 is tiny for such a high-value item as a new car. However, some customers don't necessarily behave rationally. Some may look at that price and "round it down" to £12,000, making the perceived difference more significant.

Advantages	Disadvantages
• Allows a business to influence the way that customers view the product without changing the product • A relatively easy strategy to implement	• Some customers may feel that the pricing strategy is manipulating them • May not appeal to customers who make rational purchasing decisions

Factors that determine the most appropriate pricing strategy for a particular situation

Number of USPs / amount of differentiation

If a product has a unique selling point and is sufficiently differentiated from other products in the market, then it may be easier for that product to be set at a higher price. Subsequently, a cost plus or price skimming strategy may be appropriate, especially for new product launches.

Price elasticity of demand

The price of a product will often depend on the price elasticity of demand. If a product has a high price elasticity of demand, then competitive pricing may be more appropriate, although this could make generating decent profits more challenging. If the price elasticity of demand is relatively low, or inelastic, then it may be able to set relatively higher prices which will have little impact on sales volume. Price elasticity of demand was covered in 1.2.4.

Level of competition in the business environment

The amount and strength of competition in the market will have a large bearing on pricing. If a product is competing with lots of similar products, then competitive pricing may be more appropriate. For new product launches, penetration pricing may be more appropriate, especially if the product lacks any significant unique selling points.

Strength of the brand

Having a strong brand is an important method of product differentiation and obtaining a unique selling point. A product with a strong brand may be able to utilise price skimming, especially for the launch of new products.

Stage in the product life cycle

The product life cycle is a theoretical model that describes the stages a product goes through over its life. The product life cycle is covered in more detail in 1.3.5. When a product is first launched and introduced to the market, a business could choose penetration pricing to quickly establish the product. However, this will depend on other factors such as the number of competitors, the strength of the brand and how differentiated the product is. Price skimming may be used when a product is launched to recover initial development costs and attract early adopters. Again, this will depend on a range of other factors.

A business will need to monitor pricing closely during the various stages of the product life cycle, altering the price accordingly during the different stages. For example, a business which has launched a product with a low initial price may increase the price when the product is established and then lower the price as sales start to decline.

Costs and the need to make a profit

Pricing has a direct impact on the sales revenue of the business and subsequently, profit. A business will, therefore, be mindful of the cost and the need to make a profit when setting a price. Cost plus pricing, which involves adding a mark-up to the unit cost of the product, ensures that a price has been set that will generate a profit. How much profit depends on the mark-up. A business with a powerful brand may not be concerned about the price that other businesses are setting for their products and will base their pricing on the profit margin they want to generate on each unit sold.

Changes in pricing to reflect social trends

The rapid growth in **online sales** and the emergence of **price comparison sites** have impacted on the way businesses think about pricing. Many customers believe that products sold online should be cheaper than those sold in stores. This puts pressure on businesses to keep prices relatively low and in line with, or lower than, the competition.

Purchasing online, combined with price comparison sites, makes it much easier for customers to compare prices and buy the cheapest.

Place

Introduction to distribution

Distribution (or place) is one of the four traditional elements of the marketing mix. It involves how a product reaches the end consumer.

The overall aim of effective distribution is to make products available in the **right place** at the **right time** in the **right quantities**.

Distribution channels

A distribution channel moves a product through the stages from production/manufacturer to final consumption.

Distribution channels can have more than one stage. A distribution channel with more than one stage will involve "intermediaries". Below, we can see four stage, three stage and two stage distribution channels.



Two stage

Distribution Channel	Explanation	Advantages	Disadvantages
Manufacturer to Consumer	The product is sold to the consumer straight from the manufacturer. A good example is a factory outlet where products directly arrive at their own shop from the factory and are sold to customers.	– All of the profit is earned by the producer – The producer controls all parts of the marketing mix – Quickest method of getting the product to the consumer	– Delivery costs may be high if there are customers over a wide area – All storage costs must be paid for by the producer – All promotional activities must be carried out and financed by the producer - High costs to process returns e.g. clothing

Three stage

Manufacturer to Retailer to Consumer	The manufacturer will sell its products to a retailer (who will have stocks of products from other manufacturers as well) who will then sell them to customers who visit the shop. For example, brands like Sony, Canon and Panasonic sell their products to various retailers.	– The cost of holding inventories of the product is paid by the retailer – The retailer will pay for advertising and other promotional activities – Retailers are more conveniently located for consumers	– The retailer takes some of the profit away from the producer – The producer loses some control of the marketing mix – The producer must pay for delivery of products to the retailers – Retailers usually sell competitors' products as well

Four stage

Distribution Channel	Explanation	Advantages	Disadvantages
Manufacturer to Wholesaler to Retailer to Consumer	The manufacturer will sell large volumes of its products to a wholesaler (wholesalers will have stocks from different manufacturers). Retailer will buy small quantities of the product from the wholesaler and sell it to the consumers. One good example is the distribution of medicinal drugs.	– Wholesalers will advertise and promote the product to retailers – Wholesalers pay for transport and storage costs -Wholesalers buy in bulk	– Another middleman is added so more profit is taken away from the producer – The producer loses even more control of the marketing mix

Direct distribution is increasingly popular, particularly with advances in the effectiveness of direct marketing methods and **the growing adoption of e-commerce and online distribution**.

However, there are still some good reasons to use indirect distribution, For example:

- Geography - customers may live too far away to be reached directly or spread widely, so difficult to reach directly
- Enables consolidation of small orders into large ones
- Allows a business to make better use of resources elsewhere (e.g. less capital tied up in inventories)
- A business may lack retailing expertise
- Segmentation - different segments of the market can be best reached by different distribution channels. Mass-market products, in particular, continue to be distributed via retail channels.

Changes in distribution to reflect social trends

Online distribution

As markets become more dynamic, and e-commerce and m-commerce become widespread, the nature of distribution has changed, and as we have seen, many businesses are utilising multichannel distribution. This utilises online distribution, where customers can purchase goods and services online, in addition to visiting a physical store.

Changing from product to service

Traditional distribution channels and methods were, and are, focused on getting physical products to the consumer. There will always be the need for distribution of tangible, physical products. However, the growth of online distribution is bypassing traditional and physical distribution methods; for example, a decade ago, most business software was sold in a box. Now, most software is downloaded, and much of it is now sold as **"software as a service"**, or **"SAAS", as opposed to a product**, where customers buy a subscription to the software and use it across one or more registered devices. The distribution of software via mobile phone "app stores" is another example of the same change in distribution.

Physical products such as movies, music and books, are all available as downloadable content or via streaming, with many providers offering subscription services for what were, traditionally, physical products. Banking and insurance are also good examples. Traditionally, banking and insurance services would be accessed and purchased either over the phone or in a physical outlet; now, many of these services can be purchased and accessed online.

Marketing Strategy

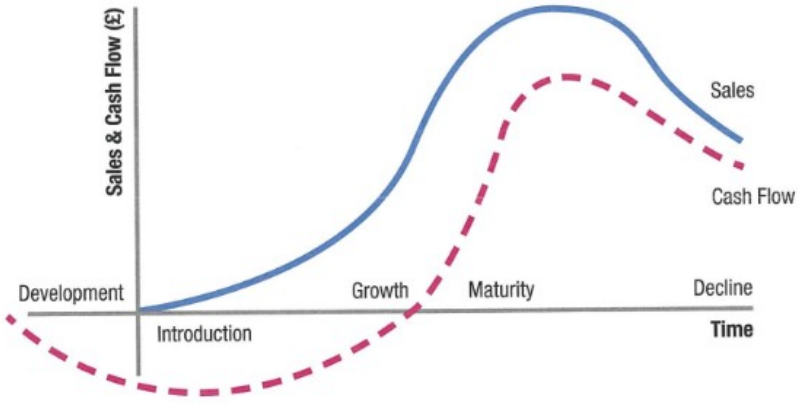
The product life cycle

The product life cycle is a theoretical model that describes the stages a product goes through over its life. This well-known and popular model can be used to:

- Forecast future sales trends
- Help with market targeting and positioning
- Help analyse & manage the product portfolio

The five stages of the product life cycle are listed below, together with a diagrammatical representation of the theoretical model of product sales and cash flow during the life cycle:

- Development
- Introduction
- Growth
- Maturity
- Decline/End



The key points to remember about each stage of the product life cycle are:

Stage	Key Point
Development	• Often complex & time-consuming • Absorbs significant resources • Cost of development often rises as product approaches launch • May not be successful – high failure rate • Test launch may reduce the risk of product failure • Can be a long lead time before sales are achieved
Introduction	• New product launched on the market • Likely to be a low level of sales – penetration pricing may help build customer demand • Low capacity utilisation & high unit costs • Usually negative cash flow • Distributors may be reluctant to take an unproven product • Heavy promotion to make consumers aware of the product
Growth	• Fast-growing sales, helped by broader distribution • A rise in capacity utilisation – should lower unit costs • The product gains market acceptance • The market grows, profits rise but attracts the entry of new competitors
Maturity	• Slower sales growth as rivals enter the market = intense competition + fight for market share • High level of capacity utilisation • High profits for those with a high market share • Cash flow should be strongly positive • Weaker competitors start to leave the market • Prices and profits fall
Decline	• Falling sales • Market saturation and/or competition • A decline in profits & weaker cash flows • A decline in capacity utilisation – switch capacity to alternative products

Extension strategies

What can businesses do to extend the product life cycle?

Extension strategies extend the life of the product before it goes into decline. Again businesses use marketing techniques to improve sales. Examples of the techniques are:

- **Advertising** – try to gain a new audience or remind the current audience
- **Price reduction** – more attractive to customers
- **Adding value** – add new features to the current product, e.g. improving the specifications on a smartphone
- **Explore new markets** – selling the product into new geographical areas or creating a version targeted at different segments
- **New packaging** – brightening up old packaging or subtle changes

Advantages of the product life cycle

Adapting the marketing mix for each stage – The main benefit of the Product life cycle is that it can help a business to adapt its marketing mix. If a product is in growth stage, then naturally a lot of promotion is needed to keep the product in the growth stage. However, once a product goes into the maturity stage the promotion spending will be reduced. Pricing and distribution strategies will also change when products move into different stages.

Extension Strategies – If a product is moving into the decline stage a business knows that it has to introduce extension strategies. e.g. increased promotion sending

Stop selling a product – The product life cycle is the perfect measure of when to withdraw a product. It can help marketing managers with the decision to eliminate a product from their portfolio when the sales have declined far below the market average.

Forecasting sales becomes easier – With enough experience, it is easier to forecast how a product will move through the product life cycle and therefore, what levels of sales will it achieve. For example – If Samsung launches a new mobile phone, it knows that the mobile will grow for 1 or 2 months, it will then reach maturity for 3 to 6 months and then the model will start declining because consumers start searching for new models. On an average, a single product in the portfolio of Samsung Smartphones survives for 2 – 3 years at the max, even though product series like Galaxy or Note might survive longer.

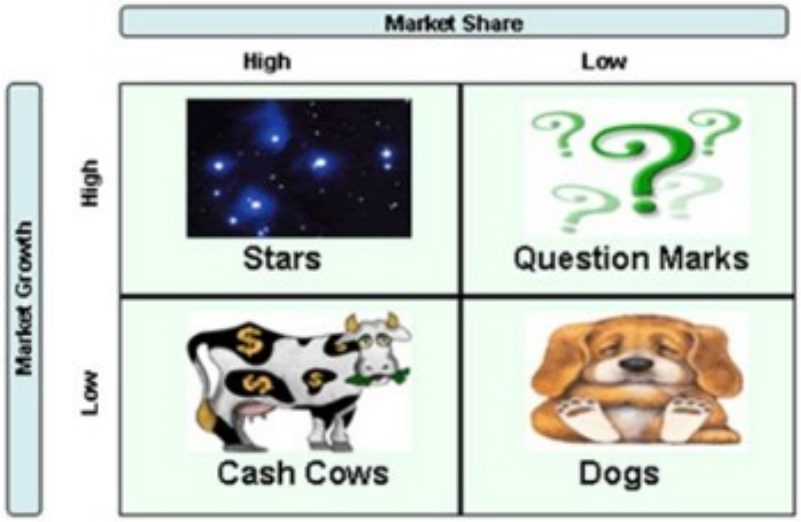
Disadvantages of the product life cycle

Fluctuations in sales data – One major problem of the Product life cycle is that the graph is completely dependent on sales data. Thus, if there are fluctuations in the sales data, then it has limited value as it cannot be used to precisely predict the movement of products into different stages. This could result in poor marketing decisions being made by a business.

Delay in sales data – Another limitation for the product life cycle is that there is often a delay in collecting and analysing the sales data. Sales are generally recorded at the end of a set time period e.g. each month. The product may have moved into a different stage before these sales are recorded and therefore important changes to the marketing mix will be delayed. This could have a major impact on the performance of the business.

Decline may not be inevitable – a product may go into the decline stage but then recover – there is the risk that the product may be withdrawn by mistake.

Boston Matrix



The Boston Matrix comprises of four distinct categories:

Category	Description
Stars	**Products with a high market share in high growth markets.** Often stars need massive investment to sustain growth. Eventually, growth will slow, and, assuming they keep their market share; Stars will become Cash Cows
Cash Cows	**Products with a high market share in low growth markets.** These are mature, successful products with relatively little need for investment. They need to be managed for continued profit so that they continue to generate the strong cash flows that the company needs for its Stars
Question Marks (also known as problem children)	**Products with a low market share in high growth markets.** This suggests that they have potential but may need substantial investment to grow market share at the expense of larger competitors. Management has to think hard about "Question Marks" - which ones should they invest in? Which ones should they allow to fail or shrink?
Dogs	**Products with a low market share in low growth markets.** Products with a low market share in low growth markets. Dogs may generate enough cash to break-even, but they are rarely, if ever, worth investing in. Dogs are usually sold, discontinued or withdrawn.

Advantages of the Boston Matrix

- Identify Dog products that should be withdrawn from sale.
- Assess if there is a balanced product portfolio i.e. a number of cash cow products to finance new star products and to support Question Mark products.
- Can identify the cash cow products and then "milk" them to finance the development of new star products and to support Question Mark products. (e.g. more promotion)

Disadvantages of the Boston Matrix

- Dog products that sill achieve some sales still contribute to cash flow so should not be automatically withdrawn.
- High market share does not always lead to high profits. There are often high costs incurred when developing and launching a new product. This may have a significant impact on the profits generated.

- This four-celled approach is considered as to be too simplistic.

Marketing strategies appropriate for different types of market

A marketing strategy is how the business plans to achieve its marketing goals. The type of marketing strategy chosen will largely depend on the market which the business operates in. For example, businesses that operate in mass markets will adopt different marketing strategies than those operating in niche markets.

Mass market marketing strategies

Mass markets are where a business sells into the largest part of the market, where there are many similar products offered by competitors. Therefore, marketing strategies in a mass market may involve ensuring that the product is widely available to all potential customers and that the price is competitive as possible. This could be achieved by:

- Advertising and promotional campaigns – mass market businesses will usually employ national and international television advertising
- Branding, packaging and design
- A wide variety of distribution channels

Niche market marketing strategies

A niche market is where a business targets a smaller segment of a larger market, where customers have specific needs and wants. Marketing strategies in niche markets will usually focus on differentiating the product.

Business to Business (B2B) and Business to Consumer (B2C) Marketing

Business to business (B2B) marketing is where business sell to each other, whereas business to consumer (B2C) is concerned with selling to consumers.

Business to business (B2B) marketing will require different techniques, methods and marketing approaches when compared to business to consumer (B2C) marketing. The table below illustrates some of the key differences and approaches.

Business to Business (B2B)	Business to Consumer (B2C)
• Promotion will be more educational and informative as businesses will base their purchasing decisions on technical and factual information • Based on relationships with customers • More complex and longer buying process • Buyers tend to be more sophisticated • Higher value purchases	• Promotion will often be more persuasive, and brand strength may be more important to consumers • Shorter and simpler buying process • Less sophisticated buyers • Lower value purchases

Consumer behaviour – how businesses develop customer loyalty

Customer loyalty is concerned with the likelihood of previous customers returning to buy goods or services from a business. Customer loyalty is an important business concept and can be achieved via a business meeting and exceeding customer expectations. When customers are loyal to a business, they are less likely to switch to other businesses or brands.

Methods of building customer loyalty include:

- Excellent customer service
- Quality
- Rewarding loyal customers via techniques such as loyalty cards and saver schemes
- Branding – customers are often loyal to a particular brand

1.4 Managing People

Staff as an asset; Staff as a cost

In terms of approaches to how management and leaders view staff, a distinction can be made between treating staff as an asset or treating them as a cost. All staff cost business money, for example, recruitment, training, development and pay. However, the real distinction lies in whether the business views and treats employees as a cost, or as an asset.

Staff as an asset

Where staff are treated as an asset, they are viewed as an essential resource in the business and a source of competitive advantage. Management and leaders recognise that staff add significant value to the business in several different ways. They are, therefore, treated as individuals and their needs are planned for accordingly. Where staff are viewed as an asset, management recognise, that by training and developing staff and looking after their individual needs, they are more likely to be productive.

Treating staff as an asset can lead to increased productivity, lower labour turnover and better quality. However, it can increase the costs of the business.

Staff as a cost

Where staff are treated as a cost, they are often viewed as a resource to be used efficiently by the business and not necessarily the most important asset of the business. Where staff are treated as a cost, the opportunities for training and development may be limited as management and leaders don't view them as an asset of the business.

Treating staff as a cost can reduce the costs of the business, but it can lead to lower productivity, higher labour turnover and lower quality.

Staff as an asset – Key features	Staff as a cost – Key features
• Strong and regular two-way communication	• Minimal communication – more likely to be top-down
• Competitive salary	• Pay may just be enough to recruit and retain staff, for example, the minimum wage
• Increased delegation with employees empowered and encouraged to take on extra responsibility	• Little empowerment or delegation
• Associated with flatter organisational structures	• Associated with taller organisational structures
• Leadership style more likely to be democratic	• Leadership style more likely to be autocratic

A distinction can be made between wages and salaries. A wage is paid on an hourly basis, whereas a salary is a fixed amount of money per pay period. Whether someone is paid a wage or a salary, may be an indication of whether their employer believes they are an asset or a cost. Many businesses opt to pay staff the minimum wage whether they can afford to pay more or not. This often depends on the business and its approach to managing its staff.

Flexible workforce

Multi-skilling

Multi-skilling arises where staff are capable of, and are allowed to, carry out a variety of tasks rather than specialising in one particular area. Multi-skilling enables the greater use of job rotation within the business.

Advantages – Employer	Disadvantages - Employer
• Can lead to increased staff retention as workers may be more motivated • Can help maintain productivity as staff can work in different areas of the business	• Increased training costs as employees need to be trained in different areas • Productivity may dip when workers move from one area to another

Advantages – Employee	Disadvantages - Employee
• Can increase motivation as workers get to experience different parts of the business • Increased job security as employees can work in different areas of the business	• Staff may become less specialised in one particular area as they are working in different parts of the business • May be required to work in areas that they dislike

Part-time

Part-time staff are those staff who work fewer hours than full-time staff, usually less than 35 hours per week.

Advantages – Employer	Disadvantages - Employer
• Can increase flexibility within the business as employees can be employed for certain hours and specific needs • Cheaper than employing full-time staff	• Part-time staff may not be available for unexpected increases in demand • Part-time staff may be less committed to the business than full-time employees

Advantages – Employee	Disadvantages - Employee
• Increased motivation as employees can balance work with other commitments • Can be less stressful than working full-time	• Less pay than working full-time • May miss out on opportunities that are only available/suitable for full-time employees

Temporary

Temporary staff are those employees who are only employed for a certain period of time; for example, they may be employed on a 3-month contract.

Advantages – Employer	Disadvantages - Employer
• Increased flexibility as staff can be employed for peak periods • Cheaper than hiring full-time employees	• Temporary staff may lack commitment given they are only employed for a short period of time • Increased training costs as training will need to take place whenever a new temporary worker joins the business

Advantages – Employee	Disadvantages - Employee
• Many employees don't like to be tied to one employer, and like the flexibility temporary work provides • Can allow an employee to gain useful work experience which may make it easier to get a full-time position	• Less pay than a permanent member of staff • May not feel part of the team resulting in feelings of isolation

Flexible hours and homeworking

Flexible working is the name given to working patterns which are different from usual and existing working patterns. For example, working term-time only, starting later, or finishing earlier some days, or working from home.

Advantages – Employer	Disadvantages - Employer
• Can lead to a happier, productive and more loyal workforce • In the case of homeworking, costs can be reduced, for example, reduced office space	• Homeworking can make it more challenging to manage employees compared to when they are in the actual workplace • Can be difficult for the employer to foster team spirit within the business if staff work different patterns
Advantages – Employee	**Disadvantages - Employee**
• Workers can balance work with other commitments • In the case of homeworking, less travel time	• Flexible working may result in fewer hours meaning lower pay • May not feel part of the business, especially homeworkers

All employees in the UK have the legal right to request flexible working as long as they have worked for the same employer for at least 26 weeks. However, just because a request is made, doesn't mean it will be granted. An employer can refuse an application for flexible working if they have a good business reason to do so.

Outsourcing

Outsourcing involves delegating one or more business processes to an external provider, who then owns, manages and administers the selected processes to an agreed standard. Outsourcing has become increasingly common for more complex businesses that want to focus on their core activities. It is also common to find smaller businesses outsourcing administrative functions (e.g. bookkeeping) until they have reached a size that justifies having specialist skills on the payroll.

Outsourcing can help a business respond to sudden and unexpected increases in demand, as well as allowing the business to focus on other areas. However, the business does lose some control over the process, and there are also some risks in terms of data protection and intellectual property.

Distinction between dismissal and redundancy

When a business decides that it wants to remove staff from the business, there are two main methods: dismissal and redundancy. You need to be aware of the distinction between the two.

Dismissal	Redundancy
• An employee is dismissed usually because of breaking their contract of employment, unacceptable behaviour or performance • May be considered "unfair" and subject to a legal claim by the employee	• An employee loses their job because it is no longer needed by the business • Requires consultation and redundancy payments • Redundancy can be voluntary (if the employee(s) opt to accept redundancy)

Employer/employee relations

Employer and employee relations is the relationship between the staff of the business and the owners/managers of the business. There are many benefits to be gained when employers and employees have a relationship built on mutual respect, for example, a more productive, happier and loyal workforce. It is important that employees feel consulted when the business makes decisions, and their interests are taken into account in matters such as terms and conditions of employment and company policy. There are two key approaches to employer/employee relations; the individual approach and collective bargaining.

The individual approach

The individual approach involves the employee and employer negotiating on an individual level, for example, an individual worker negotiating one-on-one with their employer on matters such as pay. Negotiating individually means the employee can negotiate on matters that directly affect them. However, one person may have little influence over business policies and decisions, and the employer may not consider the feelings of just one employee.

Collective bargaining

Collective bargaining is where negotiation takes places collectively between the employer and the representatives of the employee, namely a trade union. A trade union is an organisation that employees can join and belong to. Trade unions negotiate and bargain collectively on behalf of their members on issues such as pay, terms and conditions of employment and redundancy. They can also attend disciplinary and grievance meetings with individual members.

Collective bargaining can make the negotiating process more streamlined, as employers don't have to negotiate with individual workers. Collective bargaining also gives employees greater power, strength, and influence as they are negotiating as a group as opposed to individually.

Trade Unions

Trade unions have a number of aims:

- To improve the pay of its members.
- To improve the working conditions and the working practices of its members.
- To offer legal support if required.
- To support the training and the professional development of its members.
- To ensure that their members' interests are considered by the employers when any decision is made which will affect the workforce.

If the **negotiation process collapses**, then there are a number of different methods of **industrial action** which the trade union can propose to its members that they use in order to achieve their demands:

- **Non co-operation.** Refusing to attend meetings and use new machinery or processes.
- **Work to Rule or 'Go Slow'.** Refusing to perform any tasks not in the contract of employment and keeping the output of products to a minimum.
- **Overtime Ban.** Refusing to work any hours over and above the required weekly number of hours.
- **Picketing.** Standing at the entrance to the workplace and not allowing any person or vehicle to cross the 'picket line' and enter the workplace.
- **Strikes.** This is often the last resort for a trade union. It involves the employees stopping their work, leaving the workplace and refusing to return.

Whichever method of industrial action is implemented, the trade union and the employees are using it in an attempt to **reduce output** (therefore also reducing sales and profits) and hoping that the management will give-in to their demands.

Advantages

- Saves a lot of management time as managers can negotiate with just trade union representatives. It would be very time consuming to negotiate with all workers individually- therefore frees up more time for managers to focus on other key business areas.

- Staff may feel more secure having the power of the union membership behind them. As a result, their productivity could be higher due to increased motivation fulfilling Maslow's security needs. This could lower unit costs.

Disadvantages

- Trade Union representatives will be usually experienced negotiators with a detailed understanding of legislation and are therefore likely to be more effective in forcing the business to improve pay and conditions for employees. This will increase business costs and reduce profits.

- The union will put more pressure on management as there is a large number of union members. They can therefore threaten industrial action e.g. strikes and this will disrupt production and result in missing order deadlines. (fines and possible loss of contracts)

Recruitment, selection and training

The overall aim of the recruitment and selection process is to obtain the number and quality of employees that are required in order for the business to achieve its objectives.
There are three main stages in recruitment:

- **Identify and define** the requirements. This involves the preparation of job descriptions and person specifications.
- **Attract potential employees**
- **Select and employ** the appropriate people from the job applicants

Internal recruitment

This refers to the filling of job vacancies from within the business - where existing employees are selected rather than employing someone from outside.

A business might decide that it already has the right people with the right skills to do the job, particularly if its training and development programme has been effective.

Internal vacancies are usually advertised within the business via a variety of media:

- Staff notice boards

- Intranets

- In-house magazines / newsletters

- Staff meetings

Advantages of internal recruitment

- Gives existing employees greater opportunity to advance their careers in the business
- May help to retain staff who might otherwise leave
- Requires a short induction training period
- Employer should know more about the internal candidate's abilities (= a reduced risk of selecting an inappropriate candidate)
- Usually quicker and less expensive than recruiting from outside

Disadvantages of internal recruitment

- Limits the number of potential applicants for a job
- External candidates might be better suited / qualified for the job
- Another vacancy will be created that has to be filled
- Existing staff may feel they have the automatic right to be promoted, whether or not they are competent
- Business may become resistant to change; by recruiting from outside, new perspectives and attitudes are brought into the business

External recruitment

This refers to the filling of job vacancies from outside the business (contrast with internal recruitment). Most businesses engage in external recruitment frequently, particularly those that are growing strongly, or that operate in industries with high staff turnover.

There are several ways of looking for staff outside the business. For **low skilled jobs** the possible methods include:

- **Advertising in local newspapers –** this may involve placing adverts in local newspaper job sections
- **Job centres** - Government run agency - good for identifying local candidates for relatively straightforward jobs. The job centre service is free to employers and is most useful for advertising semi-skilled, clerical and manual jobs.
- **Recruitment agencies** - they often specialise in recruitment for specific sectors (e.g., finance, travel, secretarial). They usually provide a shortlist of candidates based on the people registered with the agency. They also supply temporary or interim employees. However, a fee must be paid to the agency.

- **Government Funded Training Schemes -** There is a variety of government funded schemes that provide potential recruits e.g. Modern Apprenticeships. The advantage of these schemes is that government funding lowers the cost of employment and the business can get to know the employee before committing for the long-term.

- **Asking current employees** if they know anyone suitable.

For higher skilled jobs:

- **Broadsheet newspapers** – every week these newspapers have adverts for high skilled jobs.

- **Specialist websites and publications** – specialist occupations such as marketing and IT have specialist media, which potential applicants will look at when trying to find a new job.

- **Headhunters/Recruitment Consultancies-** "Upmarket" recruitment agents who provide a more specialised approach to the recruitment of key employees and/or senior management. They tend to "approach" individuals with a good reputation rather than rely on long lists of registered applicants - often using privileged industry contacts to draw up a short list. The cost of using a headhunter or recruitment consultant is high.

Obviously, a business may use its **own website to advertise low and higher skilled job vacancies**.

Advantages of external recruitment

- Outside people bring in new ideas
- Larger pool of workers from which to find the best candidate
- People have a wider range of experience
- Reduces internal conflict

Disadvantages of external recruitment

- Longer recruitment process
- More expensive process due to advertising and interviews required
- Selection process may not be effective enough to reveal the best candidate
- Will take time for the new worker to settle – lower productivity in short term

Ensuring only suitable people apply

It is important in the job advert to stress the need for applicants to request a **job description and person specification**.

What is a job description?

A job description sets out the purpose of a job, where the job fits into the organisation structure, the main accountabilities and responsibilities of the job and the key tasks to be performed. It provides essential information to potential applicants so they can judge if the job appeals to them.

What is a person specification?

A person specification describes the **attributes** the applicant needs to have to be considered for the job.

How should a person specification be created?

The most common approach now used by recruiters is to use what are known as "competencies" to design the person specification. These are then classified as "essential" or "desired" to determine which are most important.

Competencies might include some or all of the following:

- Physical attributes (e.g. state of health, speech)
- Attainments (e.g. highest level of education completed, relevant market experience, ability to supervise/manage)
- Aptitudes (e.g. verbal reasoning; numerical aptitude)

Person specifications have to be prepared and used with great care. In particular, it is important to ensure that the list of essential or desired competencies does not lead to unlawful discrimination against potential employees.

The selection procedure

Depending on the skill level of the job, applicants will be asked to send a CV, a letter of application or an application form. These applications are checked and a **shortlist** is produced. The shortlisted candidates are then interviewed.

An **interview** is the most common form of selection as it is relatively cheap to undertake and is the chance for an employer to meet the applicant face to face and so obtain much more information on what the person is like and how suitable they are for the job. Examples of information that can only be learnt from interview and not on paper from a CV or application form are:

- Conversational ability- often known as people skills
- Natural enthusiasm or manner of the applicant
- See how applicant reacts under pressure
- Queries on comments or details missing from CV or application form
- Conversational ability- often known as people skills

Interviewers should also follow-up a candidate's **references**, which can act as the **final check that all the information given by the candidate is correct**. An honest reference from an independent source can also reveal good or bad incidences from the candidate's past or particular traits that may have been missed.

There are though other forms of selection tests that can be used in addition to an interview to help select the best applicant.

The basic interview can be unreliable as applicants can perform well at interview but not have the qualities or skills needed for the job.

Other selection tests can increase the chances of choosing the best applicant and so minimise the high costs of recruiting the wrong people. Examples of these tests are aptitude tests, intelligence tests and psychometric tests (to reveal the personality of a candidate).

Managers selecting candidates for a high level post in an organisation may even send applicants to an assessment centre. In such centres candidates undergo a variety of tests, role-plays and simulations for a number of days.

Once the best candidate has been selected and agreed to take up the post (and references have been checked) the new employee must be given an employment contract. This is an important legal document that describes the obligations of the employee and employer to each other (terms and conditions) as well as the initial remuneration package and a number of other important details.

Induction training

Induction training is training given to new employees.

The purpose of the induction period (which may be a few hours or a few days) is to help a new employee settle down quickly into the job by becoming familiar with the people, the surroundings, the job and the business.

It is important to give a new employee a good impression on the first day of work. However, the induction programme should not end there.

It is also important to have a systematic induction programme, spread out over several days, to cover all the ground in the shortest effective time.

What induction training involves

Usually, induction involves the new employee meeting and listening to different people talk about aspects of the business.

Other methods include written information, audio visual aids and group discussion.

The following items should be covered in an effective induction programme:

- Introduction to the business/department and its personnel/management structure.
- Layout of the buildings (factory / offices)
- Terms and conditions of employment (explaining the contract of employment)
- Relevant personnel policies, such as training, promotion and health and safety
- Business rules and procedures
- Arrangements for employee involvement and communication
- Welfare and employee benefits or facilities

Training

The main benefits to a business of a well-trained workforce are:

- Better productivity (and, therefore, lower production / operating costs)
- Higher quality products/services
- More flexibility - training helps employees develop a variety of skills. Multi-skilling is only possible if the workforce is well trained.
- Less supervision - lower supervision and management costs if employees can get on with their jobs. This might also improve motivation - through greater empowerment.

- More successful recruitment and employee retention - businesses with a good reputation for training are likely to find it easier to attract good quality staff - and then keep them.

- Help in achieving change - businesses with strong training systems and culture find it easier to implement change programmes.

On the Job training

As the name implies, on the job training involves employees training at their place or work and is normally carried out by another employee.

The most common methods of on the job training are:

- Demonstration/instruction; showing the trainee how to do the job

- Observation of an experienced employee

- Coaching - a more intensive method of training that involves a close working relationship between an experienced employee and the trainee

- Job rotation - where the trainee is given several jobs in succession, to gain experience of a wide range of activities (e.g. a graduate management trainee might spend periods in several different departments)

Advantages of on the job training

- Generally more cost effective

- Less disruptive to the business - i.e. employees are not away from work

- Training an employee in their own working environment, with equipment they are familiar with and people they know can help they gain direct experience to a standard approved by the employer

- On the job training is also productive, as the employee is still working as they are learning to work at a higher standard and ultimately be more productive

Disadvantages of on the job training

- The trainer may not be given the time to spend with the employee to teach them properly, which would mean substandard training has been achieved and learning has only been half done

- The trainer may possess bad habits and pass these on to the trainee

- The learner may feel under a lot of pressure being trained whilst on the job – affects the learning experience.

- If the trainee is dealing directly with customers it can lead to complaints if mistakes are made or due to a slower service.

Off the job training

Off the job training involves employees taking training courses away from their place of work. This is often also referred to as "formal training". Off the job training courses might be run by the business' training department or by external providers.

The main types of off the job training courses are:

- Day release (where the employee takes time out from normal working hours to attend a local college or training centre)
- Distance learning / evening classes
- Revision courses (e.g. in the accountancy profession, student employees are given blocks of around 5-6 weeks off on pre-exam courses)
- Sponsored courses in higher education
- Self-study, computer-based training (an increasingly popular option - given that attendance at external courses can involve heavy cost)

Advantages of off-the-job training

- Use of specialist trainers
- Employee can focus on the training - and not be distracted by work
- Opportunity to mix with employees from other businesses

Disadvantages of off-the-job training

- Employee needs to be motivated to learn (e.g. not see it as just a day off work)
- May not be directly relevant to the employee's job- i.e. training is not focused on the businesses specific needs.
- Costs (transport, course fees, examination fees, materials, accommodation) and also the costs of the worker being away from the workplace. e.g. loss of productivity/having to pay overtime/ costs of temporary workers.

Organisational Design

Structure

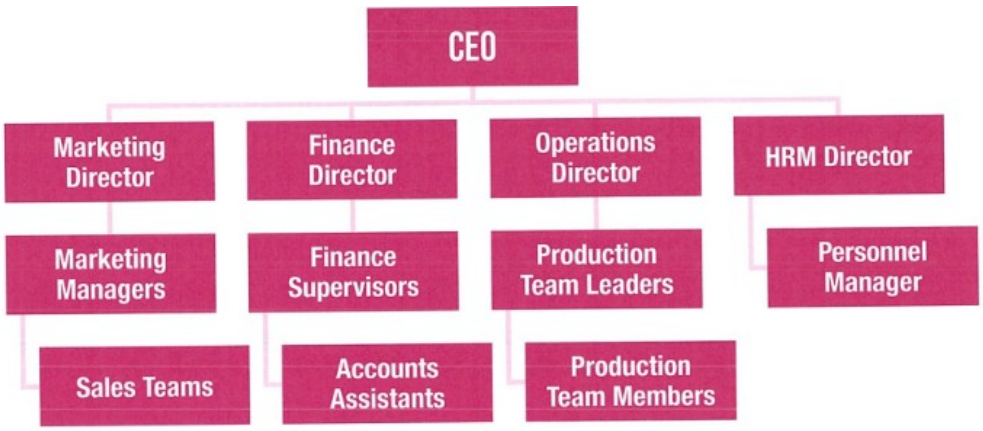
Organisational design is concerned with designing the right organisational structure for a business. The organisational structure shows how employees and management are organised in a business. The organisational structure is important because it determines:

- **Authority** and **responsibility** – who is responsible for whom and who is in charge?
- Individual **job roles** and **titles**
- The people to whom others are **accountable**
- The formal routes through which **communication flows** in the business

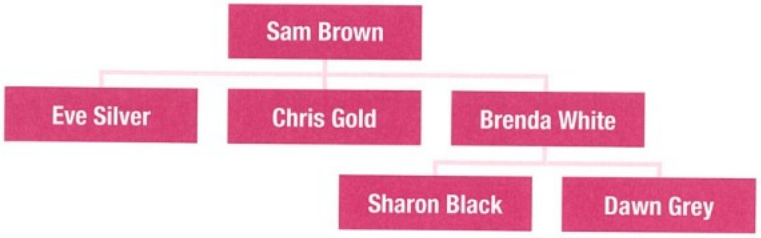
The simplest way to show how a business is organised is to look at an organisational chart. This shows the management hierarchy in a business. It works from top to bottom and illustrates:

- Span of Control
- Line management
- Chain of command

An example of an organisational chart is below:



Hierarchy

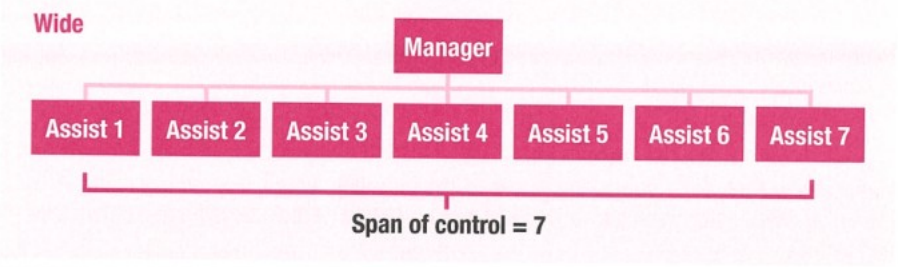


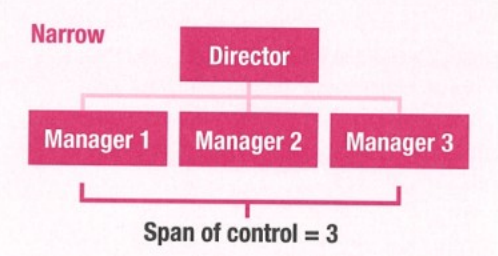
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Span of control

The span of control is the number of subordinates for whom a manager is directly responsible. The two diagrams below illustrate two different spans of control, wide and narrow.





The span of control depends on several factors:

- Experience and personality of the manager
- Nature of the business. If being a line manager requires a great deal of close supervision, then a narrower span might be appropriate
- Skills and attitudes of the employees. Highly skilled, professional employees might flourish in a business adopting wide spans of control
- Tradition and culture of the organisation. A business with a tradition of democratic management and empowered workers may operate wider spans of control

Benefits of narrow and wide spans of control:

Centralised

Businesses with a centralised structure keep decision-making firmly at the top of the hierarchy (amongst the most senior management). The main benefits and drawbacks of a centralised approach include.

Advantages of Centralisation	Disadvantages of Centralisation
• Easier to implement common policies and practices for the whole business • Can ensure consistency throughout the organisation • Prevents other parts of the business from becoming too independent • Easier to co-ordinate and control from the centre • Economies of scale and overhead savings are easier to achieve • Usually quicker decision making • Easier to show strong leadership	• More bureaucratic as there are often extra layers in the hierarchy • Lack of authority down the hierarchy may reduce the manager's motivation • Customer service may miss the flexibility and speed • Less responsive to local market needs

Decentralised

In a decentralised organisational structure, decision-making is spread out to include more junior managers in the hierarchy, as well as individual business units, trading locations and retail outlets. The main benefits and drawbacks of a decentralised approach include:

Advantages of Decentralisation	Disadvantages of Decentralisation
• Decisions are made closer to the customer • Better able to respond to local market conditions • Improved level of customer service • Consistent with aiming for a flatter organisational structure • A good way of training and developing junior management • Can improve staff motivation	• Decision-making is not necessarily "strategic" • Harder to ensure consistency throughout the organisation • Potential for diseconomies of scale, for example, duplication of roles • Harder to achieve tight financial control • Who provides strong leadership when needed, for example, in a crisis?

Types of structure

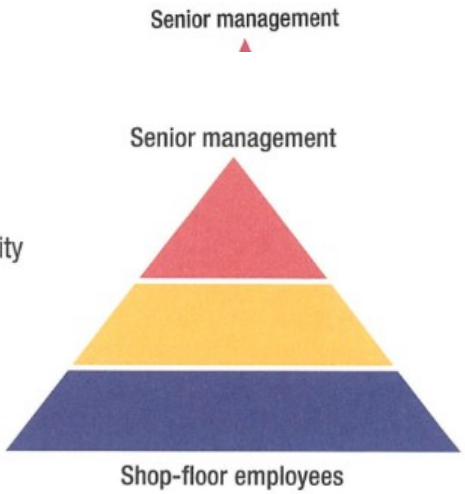
Although it is a generalisation, there are traditionally two categories

Flat

Key features:

- Fewer layers of hierarchy and wider spans of control
- Less direct control and more delegation
- Fewer opportunities for promotion, but staff given greater responsibility
- Vertical communication is improved
- Fewer layers result in less staff and lower costs

Many businesses change their organisational structure from tall to flat using a process called **delayering**. Delayering involves removing layers of management from the organisation resulting in a flatter organisational structure.



Matrix

In a matrix structure, individuals work across teams and projects as well as within their own department or function. For example, a team established to develop a new product might include engineers and design specialists as well as those with marketing, financial, personnel and production skills. These teams can be temporary or permanent, depending on the tasks they are asked to complete. Each team member can find themselves with two managers, their normal functional manager, as well as the team leader of the project. An example of a matrix structure can be seen below:

	Marketing	Operations	Finance	HRM
	Marketing Manager	Operations Manager	Finance Manager	HRM Manager
Project A (Team Leader)	Marketing (Team A)	Operations (Team A)	Finance (Team A)	HRM (Team A)
Project B (Team Leader)	Marketing (Team B)	Operations (Team B)	Finance (Team B)	HRM (Team B)
Project C (Team Leader)	Marketing (Team C)	Operations (Team C)	Finance (Team C)	HRM (Team C)
Project D (Team Leader)	Marketing (Team D)	Operations (Team D)	Finance (Team D)	HRM (Team D)

Advantages of a Matrix Structure	Disadvantages of a Matrix Structure
• Help to breaks down traditional department barriers, improving communication • Individuals get to use their skills within a variety of contexts • Likely to result in greater motivation amongst the team members • Encourages sharing of good practice and ideas across departments	• Members of project teams may have divided loyalties as they report to two-line managers • May not be a clear line of accountability for project teams • Difficult to co-ordinate • Team members may neglect their functional responsibilities

Impact of different organisational structures on business efficiency and motivation

The organisational structure of a business has a significant impact on business efficiency and motivation. For example:

- A flatter organisational structure with wide spans of control increases the amount of responsibility each subordinate has as they aren't managed as closely. This can increase motivation. However, this can also increase the workload and stress of managers so it could impact negatively on motivation
- A flatter organisational structure will have fewer layers of hierarchy, making it more efficient in terms of costs and responsiveness, and quicker decision making as the chain of command is shorter
- A decentralised organisational structure can result in local managers having more authority to make decisions that meet the needs of the local market. This can lead to increased motivation as they are given more responsibility
- A tall organisational structure may benefit from better co-ordination as everyone is more tightly managed. This could lead to more consistent and efficient decision making within the business
- A tall organisational structure may result in more opportunities for promotion, given there are more layers of hierarchy. This may motivate staff lower down the chain of command as there are clear routes for advancement within the business

Motivation in theory and in practice

There are a number of **different views as to what motivates workers**. The most commonly held views or theories are discussed below and have been developed over the last 100 years or so. Unfortunately, these theories do not all reach the same conclusions.

Taylor

Frederick Winslow Taylor (1856 – 1917) put forward the idea that workers are **motivated mainly by pay**. His Theory of Scientific Management argued the following:

- Workers do not naturally enjoy work and so need close supervision and control
- Therefore, managers should break down production into a series of small tasks
- Workers should then be given appropriate training and tools so they can work as efficiently as possible on one set task.
- Workers are then paid according to the number of items they produce in a set period of time- this is called piece-rate pay.

As a result, workers are encouraged to work hard and maximise their productivity. Taylor's methods were widely adopted as businesses saw the benefits of increased productivity levels and lower unit costs. The most notably advocate was Henry Ford who used them to design the first ever production line, making Ford cars. This was the start of the era of mass production. Taylor's approach has close links with the concept of an autocratic management style (managers take all the decisions and simply give orders to those below them)

However, workers soon came to dislike Taylor's approach as they were only given boring, repetitive tasks to carry out and were being treated little better than human machines. Firms could also afford to lay off workers as productivity levels increased. This led to an increase in strikes and other forms of industrial action by dis-satisfied workers.

Mayo

Elton Mayo (1880 – 1949) believed that workers are not just concerned with money but could be better motivated by having their social needs met whilst at work (something that Taylor ignored). He introduced the Human Relation School of thought, which focused on managers taking more of an interest in the workers, treating them as people who have worthwhile opinions and realising that workers enjoy interacting together.

Mayo conducted a series of experiments at the Hawthorne factory of the Western Electric Company in Chicago. From this Mayo concluded that workers are best motivated by:

Better communication between managers and workers (Hawthorne workers were consulted over the experiments and also had the opportunity to give feedback)

Greater manager involvement in employees working lives (Hawthorne workers responded to the increased level of attention they were receiving)

Working in groups or teams. (Hawthorne workers did not previously regularly work in teams)

In practice therefore businesses should re-organise production to encourage greater use of team working and introduce personnel departments to encourage greater manager involvement in looking after employees' interests. His theory most closely fits in with a paternalistic style of management. (see later notes)

Maslow

Abraham Maslow (1908 – 1970) along with Frederick Herzberg introduced the Neo-Human Relations School in the 1950's, which focused on the psychological needs of employees. Maslow put forward a theory that there are five levels of human needs which employees need to have fulfilled at work.

All of the needs are structured into a hierarchy and only once a lower level of need has been fully met, would a worker be motivated by the opportunity of having the next need up in the hierarchy satisfied. For example a person who is dying of hunger will be motivated to achieve a basic wage in order to buy food before worrying about having a secure job contract or the respect of others.

A business should therefore offer different incentives to workers in order to help them fulfil each need in turn and progress up the hierarchy. Managers should also recognise that workers are not all motivated in the same way and

do not all move up the hierarchy at the same pace. They may therefore have to offer a slightly different set of incentives from worker to worker.



Herzberg

Frederick Herzberg had close links with Maslow and believed in a two-factor theory of motivation. He argued that there were certain factors that a business could introduce that would directly motivate employees to work harder (**Motivators**). However, there were also factors that would de-motivate an employee if not present but would not in themselves motivate employees to work harder (**Hygiene factors**)

- **Motivators** are more concerned with the actual job itself. For instance, how interesting the work is and how much opportunity it gives for extra responsibility, recognition and promotion.

- **Hygiene factors** are factors which 'surround the job' rather than the job itself. For example, a worker will only turn up to work if a business has provided a reasonable level of pay and safe working conditions but these factors will not make him work harder at his job once he is there. Importantly Herzberg viewed pay as a hygiene factor which is in direct contrast to Taylor who viewed pay, and piece-rate in particular as a motivator.

Herzberg believed that businesses should motivate employees by adopting a democratic approach to management (see later notes) and by improving the nature and content of the actual job through certain methods. Some of the methods managers could use to achieve this are:

Job enrichment - involves workers being given a wider range of more complex, interesting and challenging tasks surrounding a complete unit of work. This should give a greater sense of achievement.

Responsibility (Empowerment) means delegating more power to employees to make their own decisions over areas of their working life.

Recognition – means that manager recognise an employee's performance at work e.g. employee of the month

Hygiene Factors	Motivators
• How you are treated at work • Pay • Supervision • Working conditions • Job security	• Achievement • Recognition • Meaningful, interesting work • Increased responsibility • Growth and advancement

Financial incentives to improve employee performance

Piecework

As we have seen earlier with Taylor's **scientific management, piecework** or **piece-rate** involves paying workers per item produced in a specific time period. This can lead to increased labour productivity and requires lower levels of supervision, but it can also result in workers being more focused on quantity rather than quality. Work paid by piece-rate tends to be repetitive and de-motivating.

Commission

Commission is a popular and widely used financial incentive which is usually linked to sales. Commission is typically a fee based on a percentage of sales for which an employee is responsible, for example, an employee may receive 2% commission on every sale made. Commission provides a clear link between work and pay and can, therefore, lead to more sales, as the more an employee sells, the greater their commission. That said, the ability to sell a product may be determined by factors outside an employees' control. It may also lead to some unethical sales practices and techniques.

Bonus

A bonus is an amount of money that is paid when specific targets have been met, for example, a bonus of £500 per employee might be paid when the business achieves a certain amount of revenue. This can motivate works to work harder to meet specific targets and subsequently receive a bonus payment. However, bonus payments may lead to unhealthy competition between employees, and if the target is unrealistic, it may lead to employee dissatisfaction.

Profit share

Profit-sharing is a system whereby employees receive a proportion of business profits. This can create a direct link between pay and performance and may improve an employee's loyalty to the company. Employees may also be more likely to accept changes to certain working practices if they believe that this will lead to an increase in overall profits. However, it can cause resentment if individual employees feel that other employees who they believe have contributed less to the profit of the business receive the same share of the profits. Also, the profit of a business may be outside the control of the employees, for example, in a time of economic recession.

Performance-related pay

Performance-related pay is an increasingly popular method of rewarding people. This method of financial motivation makes it easier for senior manages to monitor and assess individual performance, and it also provides a direct link between the performance of the employee and their pay. However, like other methods of financial motivation, it can create unhealthy rivalry within the business and, in some sectors, it can be difficult to measure individual performance.

Non-financial incentives to improve employee performance

Delegation

Delegation is when authority is passed down to employees and staff are given the responsibility to carry out tasks. Delegation is closely associated with a democratic leadership style and can lead to increased motivation as it can contribute towards an employee's esteem needs and can also contribute towards self-actualisation. It is also one of Herzberg's motivators (increased responsibility). It is important that managers do not over delegate and that employees are capable and willing to take on extra responsibility.

Consultation

Consultation occurs when managers and leaders obtain the views of employees when making decisions. Consultation is associated with a paternalistic and democratic management style and can make workers feel more involved within the business. Although consultation can improve worker motivation, this does depend on the extent to which workers are consulted and whether workers' views are considered.

Empowerment

Empowerment is like delegation, although there are differences. Empowerment provides employees with more responsibility to work on their own behalf without necessarily the need to "hand down" specific tasks and projects. This can be a powerful motivator as it gives workers more control over their work and can lead to growth and advancement, one of Herzberg's motivators. Empowerment is not without its problems as some employees can potentially take advantage of the increased power that they have been given.

Team working

Team working can meet workers social needs (Maslow) and can also lead to a more multi-skilled workforce and shared responsibility, which can improve worker motivation. That said, when things go wrong, it is easy for team members to point the finger at others, and there is often resentment if some members feel others aren't pulling their weight.

Flexible working

Flexible working was covered in detail in section 1.4.1 (approaches to staffing). Flexible working ultimately involves workers having a degree of choice relating to how and when they work, allowing workers to balance their own needs with the needs of the business. Methods of flexible working include multi-skilling, part-time and temporary, flexible hours and home working.

Job enrichment

Job enrichment attempts to give employees greater responsibility by increasing the range and complexity of tasks that they are called upon to complete and giving them the required authority. It motivates by allowing employees to use their abilities to the fullest. Herzberg argued that job enrichment, through motivators, should be a central element in any attempt to improve motivation.

According to Herzberg, enriched jobs should contain a range of tasks and challenges at different ability levels as well as clear opportunities for achievement and feedback on performance.

It is important when implementing job enrichment that workers have the necessary training and skills; otherwise, it could lead to reduced quality, lower productivity and dissatisfaction.

Job rotation

Job rotation involves the movement of employees through a range of jobs to increase interest and motivation. Job rotation can facilitate "multi-skilling", but also involves the need for greater training. For example, an administrative employee might spend part of the week looking after the reception area of a business, dealing with customers and enquiries. Time might then be spent being responsible for the company telephone switchboard and then doing some typing and data entry.

Job rotation may offer the advantage of making it easier to cover for absent colleagues, but it may also reduce productivity as workers are initially unfamiliar with a new task. Some employees may also dislike some of the jobs that they are rotating to.

Job enlargement

Job enlargement involves the addition of extra, similar tasks to a job. In job enlargement, additional tasks are at the same level and in the same job area as the job itself, remaining essentially the same. However, by widening the range of tasks that need to be performed, hopefully, the employee will experience less repetition and monotony.

With job enlargement, the employee rarely needs to acquire new skills to carry out the additional task, and the motivational benefits of job enrichment are not usually experienced. One important negative aspect is that job enlargement is sometimes viewed by employees as a requirement to carry out more work for the same amount of pay.

Leadership

The distinction between management and leadership

Leadership is the way in which one person influences the behaviour or actions of other people. The role of leadership in modern business is changing. Traditionally, leadership has been associated with the need to command and control a business and to take decisions. However, in modern business, the role of leadership is increasingly about:

- Inspiring employees
- Creating a vision - a clear sense of the purpose and direction of the business and sharing that vision with others
- Shaping the core values and culture of the business
- Providing direction
- Building effective teams

The need for effective leadership within a business is becoming increasingly vital, particularly because of:

- **Changing organisational structures**
  - Flatter hierarchies and greater use of delegation
  - Increasing emphasis on teamwork and a greater focus on quality assurance
  - Coaching, support & empowerment
- **Rapid Change and Dynamic Markets**
  - Change is becoming a constant feature of business life
  - Softer skills of leadership and management increasingly important

The distinction between management and leadership

The two concepts of leadership and management are closely linked. However, there is an important distinction between the two. In summary:

Leaders	Managers
• Set the strategy and objectives	• Implement the strategy
• Inspire people	• Coordinate resources/day-to-day organisation
• Build relationships	• Use their authority to make decisions
• Take risks	• Manage risks
• Have followers	• Have subordinates

Types of leadership style

How leaders lead their employees is known as their leadership style. Traditionally, there have been four classifications of leadership style. The key features of each of the four leadership styles are below.

Autocratic

- Focus of power is with the manager
- Communication is top-down & one-way
- Formal systems of command & control
- Use of rewards & penalties
- Very little delegation

Paternalistic

- The leader decides what is best for employees
- Links with Mayo (motivation) – addressing employee needs
- Akin to a parent/child relationship
- Still little delegation
- A softer form of authoritarian leadership

Democratic

- Focus of power is more with the group as a whole
- Leadership functions are shared within the group
- Employees have greater involvement in decision-making
- Emphasis on delegation and consultation
- A trade-off between the speed of decision-making and better motivation and morale

Laissez-faire

- The leader has little input into day-to-day decision-making
- Conscious decision to delegate power
- Managers/employees have the freedom to do what they think is best
- Effective when staff are ready and willing to take on responsibility

The use of autocratic leadership styles is increasingly viewed as out-dated in the modern business world, although, there will always be circumstances where autocratic leadership may be effective and desirable (e.g. where a business is facing failure and requires painful restructuring). However, the following factors suggest a move away from autocratic leadership:

- Changes in society's values
- Better educated workforce
- A focus on the need to treat staff as an asset as opposed to as a cost
- Changing workplace organisation
- Greater workplace legislation
- Pressure for greater employee involvement

That said, the type of leadership style chosen, will often depend on the circumstances the business finds itself in and the size and nature of the business. For example:

Autocratic leadership is useful when:

- an activity is urgent and needs to be completed quickly
- the workforce is unskilled or inexperienced
- a business has high labour turnover
- there is a crisis such as an external shock, and quick decisions need to be made
- the business operates in a dynamic and fast-paced environment

Paternalistic leadership is useful when:

- the business has a more formal organisational structure
- there is less need for creativity within the organisation
- when employees still need some guidance
- when the workforce trusts the leader to make the best decision on behalf of the business

Democratic leadership is useful when:

- the organisational structure is flat
- the design of the organisation is decentralised
- where the workforce is skilled and willing to get involved
- the business values flexibility
- complex decisions need to be made that require a wide range of expertise

Laissez-faire leadership is useful when:

- when the workforce are experts in their field and highly motivated
- when the workforce can complete tasks with little or no guidance and have a passion for their work
- when the business requires employees to work on their own initiative, for example, developing new products

Moving from entrepreneur to leader

Moving from an entrepreneur to a leader can be a challenging process, and one of the significant hurdles to long-term business success. Entrepreneurs often control every single aspect of the business. When a business grows and expands, an entrepreneur may find that the business becomes too big and complex to manage by themselves. Subsequently, an entrepreneur may find that they do not have the specialist skills to carry out all the different aspects of running a business and may need to employ staff. Learning to manage, develop, inspire and motivate a team effectively can prove challenging, and an entrepreneur may encounter the following difficulties:

- The need to lead and communicate effectively with employees
- The need to delegate responsibility
- Trusting other people
- The need to have a more open mind
- Listen to, and considering, the ideas of others
- Being less reactive
- The need to develop emotional intelligence, i.e. the need to understand and manage your own emotions as well as recognising and influencing the emotions of others

1.3.5 Entrepreneurs and Leaders

1 Role of an entrepreneur	a) Creating and setting up a business. b) Running and expanding/developing a business. c) Innovation within a business (intrapreneurship). d) Barriers to entrepreneurship. e) Anticipating risk and uncertainty in the business environment.

Creating and setting up a business

An entrepreneur is an individual who sets up and runs a new business, taking on the risks associated with that business. Entrepreneurs are the driving force behind the formation of thousands of new business enterprises each year. Relatively few succeed, but the nature of enterprise is that risks are taken, including the risk of failure. Creating and setting up a business involves spotting a business opportunity and turning that opportunity into a viable business. A viable business idea is the foundation of any start-up. Good business ideas:

- Solve a problem
- Offer a better, cheaper alternative than existing products
- Are ideally simple & practicable
- Can be delivered quickly
- Have a clear focus
- Anticipate trends and exploit growing markets
- Can be implemented profitably

Sources of business ideas

Business experience (of the entrepreneur)

This is a good way of getting insights into potential opportunities and what might be viable. There is also less need for market research.

Personal experience (as a customer)

Personal experience can come from an individual's activities, passions, interests and hobbies. Bad experiences and frustration that something isn't available can also be a valuable source of business ideas.

Observations and research

This involves watching closely what happens to customers (including in other markets) and looking for poor customer service as evidence of where an opportunity might lie.

Running and expanding/developing a business

Running a business

Running a business often involves the entrepreneur carrying out a wide range of activities, especially if the business has no staff.

Expanding / developing a business

Some businesses stay small, whereas others expand. A business may expand for several reasons:

- To respond to an increase in demand
- To move into new markets to reduce the risk of only operating in one
- To increase profits
- To reduce unit or average costs (economies of scale)
- Personal motives – the entrepreneur may be motivated by owning and managing a much larger business

Innovation within a business (Intrapreneurship)

Established businesses often want their employees and management to be more "entrepreneurial" and to display the characteristics and traits associated with entrepreneurs.

Intrapreneurship involves people within a business creating or discovering new business opportunities, which leads to the creation of new parts of the business or even new businesses. An intrapreneur is, therefore, someone within a business, that takes risks.

Potential business benefits of intrapreneurship

Intrapreneurs can help drive innovation within businesses. In a similar role to that of entrepreneurs, intrapreneurs seek to provide solutions to problems, for example, low productivity, excess waste or poor quality.

What can a business do to encourage intrapreneurship?

- Look out for, and encourage entrepreneurial activity
- Give employees ownership of projects
- Make risk-taking and failure acceptable
- Train employees in innovation
- Give employees time outside the confines of their job description
- Encourage networking and collaboration
- Reward entrepreneurial thinking and activity

Pote

ntial benefits

- Increased worker motivation – may lead to increased productivity and increased employee retention
- Excellent ideas suggested by employees may lead to the business improving their performance
- It may aid recruitment as high-quality workers might be attracted by the opportunity to work for business that encourages intrapreneurship

Potential drawbacks

- The business will be under pressure to implement ideas generated by workers. Workers may lose motivation if their ideas are being ignored. This will affect labour productivity and some highly skilled workers may leave the business as they do not feel valued.
- An intrapreneur may resent the fact that the business will receive the profits generated by implementing their ideas. If they do not receive a significant financial reward they could again lose motivation and potentially leave the business.

Barriers to entrepreneurship

- Poor idea – no gap in the market
- Cannot raise the required finance e.g. lack of support from a bank.
- Lack skills in key areas – e.g. financial management
- Attempt to grow too quickly (overtrading) – e.g. cash flow problems
- Lack of market knowledge
- The aggressive response of competitors
- Failure to produce contingency plans i.e. back up plans in case of unexpected events

- Struggle to manage people when there is a need to employ workers i.e. as the business grows
- Reluctant to delegate responsibility to other people so the entrepreneur cannot cope with the increased demand.

Anticipating risk and uncertainty in the business environment

(The concept of risk and uncertainty and the difference between them, was introduced in section 1.1.1)

Being entrepreneurial involves taking risks. Risks include:

- The probability that things will not go as well as planned
- The chance that money invested in the business will be lost
- The possibility that the entrepreneur will be personally liable for the debts a business incurs
- Risk of not getting another job or having to face the stigma of "failure"

It is important to remember that risk is just the possibility that things may go wrong, and that risk can often be planned for, managed, and mitigated against. Entrepreneurs can manage risk effectively by:

- Taking calculated risks (i.e. understand risk) rather than gamble
- Spreading risk by diversifying (don't put "all eggs in one basket")
- Looking for higher returns to take account of the risks
- Keeping going despite adversity

Uncertainty, on the other hand, is caused by unpredictable and uncontrollable events that affect business, but which are beyond the control of the business, for example, external shocks (although some may be somewhat predictable, such as a potential downturn in the economy). Successful entrepreneurs embrace the concept of both risk and uncertainty.

Entrepreneurial motives and characteristics

Characteristics and skills required

As we have seen in the previous section, 1.5.1, and entrepreneur is an individual who sets up a runs a new business and take on the risks associated with that business. Whilst there are many characteristics of effective and successful entrepreneurs, the following are commonly thought to be important:

- Creative
- Hard working
- Resilient
- Self-confident
- Risk taking
- Initiative

Successful entrepreneurs often have the following skills:

- Organisational
- Good communication
- Problem-solving
- Team working
- Numeracy
- IT

Reasons why people set up businesses

Financial motives

The two key financial motives for an entrepreneur starting a business are:

Profit Maximisation	Profit Satisficing
• The desire to earn substantial rewards is a strong entrepreneurial motivation • Long-term profit maximisation consistent with building a valuable business	• A sufficient profit to enable a satisfactory standard of living • The entrepreneur may take fewer risks • The trade-off is lower returns • Associated with "lifestyle' businesses

Non-financial motives

A wide variety of non-financial motives can be behind a decision to start a business. Often, more than one of the following motives applies:

- A better work/life balance with more control over working life
- Independence
- More flexibility
- Home working
- More/increased income
- Ethical motives
- Social motives
- Challenge of running a business

Corporate (strategic) objectives

Corporate (strategic) objectives give the business **clearly defined targets**. The most effective business objectives meet the following **SMART** criteria:

S – Specific – objectives are aimed at what the business does, e.g. a hotel might have an objective of filling 60% of its beds a night during October, an objective specific to that business.

M - Measurable – the business can put a value to the objective, e.g. £10,000 in sales revenue by 31st Dec 2024

A – Agreed (or attainable) by all those concerned in trying to achieve the objective.

R - Realistic – the objective should be challenging, but it should also be able to be achieved by the resources available.

T- Time specific – they have a time limit of when the objective should be achieved, e.g. by the end of the year.

Survival

Survival is a key objective, especially for new businesses. Established businesses may also set survival as an objective during times of a sudden change in demand, such as an economic recession or other external shocks such as the loss of a significant customer.

Profit maximisation

Profit maximisation, as the name suggests, is an objective with the sole purpose of making as much profit as possible. Often, an objective of profit maximisation is set in conjunction with other objectives such as cost efficiency/cost minimisation.

Other objectives

A business will often have a wide range of objectives. These include:

Sales maximisation	Sales maximisation involves maximising the sales (volume or value) of the business
Market share	Market share is the percentage of total sales (usually by value) that a business has in a specific market
Cost efficiency	Cost efficiency aims to achieve the most cost-effective way of delivering goods and services at the required level of quality. Cost minimisation may allow a business to reduce its prices and / or maximise its profits

Employee welfare	Employee welfare is an important objective, especially for those businesses who treat staff as an asset as opposed to a cost
Customer satisfaction	Customer satisfaction is a measure of how satisfied customers are with the products and services of a business, for example, the quality and performance of a product or the customer service they receive
Social objectives	Social objectives are those objectives that are set to benefit society or the local community, for example, to reduce pollution or to produce more sustainable products

Business Choices

Opportunity cost can be defined as the next best alternative forgone.

There are always competing alternatives when making choices.

Example

- A business has a choice between spending £50 million on a new factory or on product development.
- The opportunity cost of building a new factory is that they have to sacrifice investing £50m in product development i.e. they have made a choice and decided that a new factory will have a greater impact on the future success of the business.
-

Why is the concept useful to a business?

To make the right choice a business will need to assess both options e.g. financial implications. By carrying out a detailed assessment of each option a business should be able to determine the better option to proceed with in the future and will sacrifice the other desired option. e.g. if a zoo is deciding whether to invest in a new lion attraction or to open a new penguin attraction it will ultimately choose the option which will attract the most visitors.

Therefore, the use of this concept should lead to improved decision making.

However, the concept of opportunity cost is only effective if the information used to assess options is considered to be reliable e.g. based on detailed market research.

Choices and potential trade-offs

A trade-off arises where having more of one thing potentially results in having less of another, as the full benefit of both options cannot be achieved. For example, the benefits of one option are increased due to the reduced return of the other option. The table below lists some examples of how trade-offs often arise in business as a result of resource scarcity.

Choice	Potential trade-offs
A large amount of money spent on market research	Less money to spend on promotion
Higher quality standards to build a reputation	Higher quality control/quality assurance costs
Investing heavily in one market segment	Less investment in other market segments